Banking Law — Final Exam Cluster Notes

Law of Banking & Negotiable Instruments · BR Act 1949 · NI Act 1881 (Amendment 2018) · SARFAESI 2002 · Osmania University LLB (3 YDC) · Semester V

Ready-to-read, ready-to-write answers for **Part A**, **Part B** & **Part C** · built from **304 questions** of **20 papers (2012–2023)** · by **lawsticker-ai.com**

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How to use these notes

- Each **cluster** = one topic family that keeps coming back. Its first box lists **every past question** from it (A = short note, B = essay, C = problem).
- **Part B essays** are written to be **copied as they are** — headings, bare-act lines, tables, cases, conclusion. **Part A** = the pink short-note boxes. **Part C** = the green **IRAC** boxes (Issue · Law · Apply · Decision).
- **Part C is mostly the NI Act — 43 of 77** past problems come from Clusters 4–7. Learn the **section that decides each problem** (it is in bold in every IRAC box).
- Skim mode: read only the **bold** and yellow words, the ★ golden rules, the case **'Trick'** lines and the 🧠 memory tricks.

What the paper looks like

Part	Questions	Pattern seen in past papers
A	8 short notes · answer 5 (6 marks)	instruments (PN, bill, cheque, traveller's cheque, drafts, dividend warrants), **crossing / a/c payee**, **LC / BG**, lien / set-off, RBI
B	4 essays · answer 2 (15 marks)	**banker–customer relationship** (15 of 20 papers) · **BR Act / banking system** · **paying banker's protection** · NI Act features / presumptions · LC / BG · DRT (recent)
C	4 problems · answer 2 (10 marks)	**endorsements, HDC, forgery, alteration**, maturity · jewels in safe custody · countermand · lockers · garnishee · secrecy

The 2021 papers and one 2022 paper were 2-hour papers (Part A any four, Part B one, Part C one).

Writing formula

Part	Write in this order
A	**definition** → **section** → 3–4 key points (or a kinds list) → **one case** → one-line conclusion
B	**intro + meaning** → **bare act line** → **features / kinds** (table or diagram) → **duties / rights / exceptions** → **2–3 cases with stories** → **conclusion**
C	**Issue** (one line) → **Law** (NI / Contract / BR Act section + case) → **Apply** to the facts → **Decision** (clear yes / no + remedy)

The 13 clusters — priority map

#	Cluster	Unit	Tier	Qs
1	Banking system, RBI & BR Act	I	T1	38
2	Banker & customer: relationship	II	T1	34
3	Banker's duties: secrecy, garnishee, honour	II	T2	17
4	Negotiable instruments: kinds & presumptions	III	T1	60
5	Holder, HDC, negotiation & endorsement	III	T1	30
6	Dishonour, discharge, alteration & S.138	III	T1	20
7	Crossing of cheques	III	T2	14
8	Paying banker	IV	T1	25
9	Collecting banker	IV	T3	8
10	Lien, set-off, safe custody & lockers	V	T1	23
11	Loans, advances & securities	V	T2	12
12	Bank guarantees & letters of credit	V	T2	17
13	Recovery: DRT & SARFAESI	V	T3	6

Qs = questions asked from the cluster in the **20 papers** (previous year question paper analysis). **Tier**: T1 = one or more questions per paper on average, T2 = 0.6–1, T3 = fewer. Cluster 13 (DRT / SARFAESI) is T3 overall but **5 of its 6 questions came after 2020**. This shows what **has** been asked — not a promise of what **will** be asked.

Cluster 1

Banking system — history, kinds, RBI & the Banking Regulation Act

TIER 1 · must prepare | Unit I · BR Act 1949 · RBI Act 1934 | asked 38× in 18 of 20 papers

Every past question from this cluster

Short notes: A Reserve Bank of India *(Aug 2012, Feb/Mar 2013, Dec 2015)* · A NABARD *(Aug 2012, 2014)* · A Credit society *(Feb/Mar 2013)* · A Liquidity *(May/June 2016)* · A Bankers clearing house *(May/June 2016)* · A Indigenous Bankers *(May/June 2016)* · A Mixed Banking *(Jan/Feb 2017)* · A Banking Regulation Act *(Jan/Feb 2018)* · A Group banking *(May/June 2019)* · A IDBI *(May/June 2019)* · A Co-operative Bank *(2020)* · A Banking Ombudsman *(2020)* · A Commercial bank *(Aug/Sept 2021)* · A Banking business *(Apr/May 2022 (3-hr), Apr/May 2023)* · A Meaning of banking *(Nov 2022)*

Essays: B *Aug 2012* — Explain the salient features of Banking Regulation Act. · B *Feb/Mar 2013* — How does the RBI control advances by commercial banks? · B *2013* — Evaluate the effects of Nationalization of Banks of the Society. · B *2013* — Explain salient features of Banking Companies Regulation Act. · B *June 2014* — Salient features of the Banking Regulation Act · B *June 2014* — Banking business and its importance in modern India · B *2014* — Explain the salient features of the Banking Regulation Act. · B *May/June 2016* — Define a Bank. Discuss the law relating to Banking Business and its importance in modern times. · B *Jan/Feb 2017* — Explain the concept of banking and discuss the objectives, salient features of the Banking Regulation Act. · B *Jan/Feb 2018* — Importance of banking business in national development · B *May/June 2018* — Discuss the salient features of the Banking Regulation Act. · B *2019* — Trace the history of banking system in India and its importance in modern times. · B *2020* — Discuss the various provisions of Banking Regulation Act. · B *Feb 2021* — Salient features of the Banking Regulation Act · B *Aug/Sept 2021* — Role of the RBI in India's economic development · B *Apr/May 2022 (3-hr)* — Impact of information technology on banking · B *Nov 2022* — Nature, development and evolution of banking in India · B *Apr/May 2023* — Nature, development and evolution of banking in India

Problems: C *Jan/Feb 2018* — A bank's licence is cancelled by the RBI — is there an appeal?

💡 Core idea

A **bank** takes **deposits from the public** and **lends** them out. Because it uses **other people's money**, the State regulates it closely: the **Reserve Bank of India** (RBI Act 1934) is the **central bank and regulator**, and the **Banking Regulation Act 1949** is the **rulebook** — licence, capital, reserves, liquidity, management, inspection and winding up.

📖 Bare Act — BR Act S.5(b) — 'banking'

"**Banking** means the **accepting**, for the purpose of **lending or investment**, of **deposits of money from the public**, **repayable on demand or otherwise**, and **withdrawable by cheque, draft, order or otherwise**."
S.5(c): a **banking company** = a company which transacts the business of banking in India. **S.6**: other business it may do (collection, guarantees, safe custody, agency, foreign exchange…). **S.8**: it may **not trade** in goods.

PART B · ESSAY

Salient features of the Banking Regulation Act (with its history)

Q. Discuss the salient features / various provisions of the Banking Regulation Act. (Aug 2012, 2013, June 2014, 2014, 2017, May/June 2018, 2020, Feb 2021; short note Jan/Feb 2018)

1. History

Before 1949 banks were governed by the **Indian Companies Act** (Part XA, 1936) — failures were common (**hundreds of banks** failed between 1913 and 1948). The **Banking Companies Act, 1949** gave the RBI wide powers; it was renamed the **Banking Regulation Act** in **1966** when extended to **co-operative banks**. Major amendments: **1969** (social control), **2017** (S.35AA — RBI directions on **NPAs / insolvency**), **2020** (co-operative banks brought fully under RBI supervision).

2. Salient features

Area	Provision
Definitions	banking, banking company (**S.5**); permitted business (**S.6**); use of the word 'bank' (**S.7**); **no trading** (**S.8**); dispose of non-banking assets in **7 years** (**S.9**)
Licence	no banking business without an **RBI licence** (**S.22**); cancellation → **appeal to the Central Government in 30 days** (S.22(5)); RBI permission for **new branches** (**S.23**)
Capital & reserves	minimum paid-up capital (**S.11**); **reserve fund** — 20% of profit (**S.17**); dividend only after writing off expenses (**S.15**)
Liquidity	**Cash Reserve Ratio** (**S.18**; RBI Act S.42) and **Statutory Liquidity Ratio** (**S.24**)
Management	board composition, whole-time chairman (**S.10A, 10B**); RBI may **remove** directors / officers (**S.36AA**) or **supersede** the board (**S.36ACA**)
Control of advances	no loans to own **directors** (**S.20**); RBI may **direct** advances — purpose, margin, interest (**S.21**); general **directions** (**S.35A**), NPA resolution (**S.35AA**)
Accounts & inspection	annual accounts, audit (**S.29–30**); RBI **inspection** (**S.35**)
Customer protection	**nomination** for deposits, safe custody articles and **lockers** (**S.45ZA–45ZF**); unclaimed deposits to the **DEA Fund** (S.26A)
Weak banks	**moratorium, amalgamation, reconstruction** (**S.45**); winding up by the High Court (**S.38–45**)
Penalties	**S.46** offences; RBI monetary penalties (**S.47A**)

✅ *Conclusion (write this)*

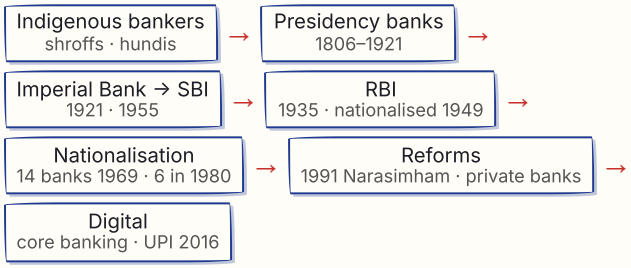
The BR Act turns the RBI into a **watchdog** over every stage of a bank's life — **birth (licence), health (capital, CRR, SLR), conduct (advances, management) and death (moratorium, amalgamation, winding up)** — to protect **depositors** and the **economy**.

🧠 *Memory trick*

BR Act = **L-C-L-M-A-I-N**: **L**icence · **C**apital & reserves · **L**iquidity (CRR / SLR) · **M**anagement · **A**dvances control · **I**nspection · **N**omination & weak-bank powers.

PART B · ESSAY *Banking business and its importance; history / evolution of banking in India*

Q. Define a bank; banking business and its importance in modern times / national development / Trace the history (nature, evolution) of banking in India. (June 2014, 2016, 2017, Jan/Feb 2018, 2019, Nov 2022, Apr/May 2023)



- **Ancient / indigenous**: Vedic money-lending; **shroffs, Chettiars, Marwaris, Multanis** — **indigenous bankers** who mixed trading and lending and used **hundis**.
- **Presidency banks** (Bengal 1806, Bombay 1840, Madras 1843) → **Imperial Bank of India** (1921) → **State Bank of India** (1955).
- **RBI** set up on **1 April 1935** under the RBI Act 1934; **nationalised in 1949**.
- **Nationalisation**: **14 banks on 19 July 1969** (deposits over ₹50 crore), **6 more in 1980** — to take banking to villages and priority sectors. **R.C. Cooper v Union of India** (1970) struck down the first law on compensation grounds; Parliament re-enacted it (1970).
- **Reforms after 1991** (Narasimham Committees): new **private banks**, prudential norms (NPA, capital adequacy), **DRT (1993)**, **SARFAESI (2002)**, **payments & small finance banks** (2015), mergers of PSBs (2019–20).
- **Importance**: mobilises **savings**, gives **credit** for agriculture, industry, trade; **payment system**; transmits **monetary policy**; **financial inclusion** (Jan Dhan); employment; **national development**.

✅ *Conclusion (write this)*

Banking moved from **private money-lending** to a **regulated, socially directed and now digital** system — the backbone of credit, payments and development.

PART A · SHORT NOTE *Kinds of banking / banks*

Kind	Meaning
Commercial bank	accepts deposits and gives short-term credit — public, private, foreign, regional rural banks
Co-operative bank	owned by members; State Co-op Acts + **BR Act (S.56)**; now under RBI (2020)
Development bank	long-term finance — **IDBI** (1964), SIDBI, NABARD
Mixed banking	commercial + **investment** banking (long-term industrial finance) by the same bank — German model
Group banking	a **holding company** controls several banks, which keep their identity
Universal banking	banking + insurance + securities under one roof
Unit / branch banking	single office v network of branches
Payments bank / Small finance bank	deposits up to a limit, no lending / lending to small borrowers (2015)

PART A · SHORT NOTE *Reserve Bank of India*

Set up under the **RBI Act 1934**, functioning from **1 April 1935**, nationalised **1949**. Functions: ① **sole issuer of currency** (S.22) ② **banker to Government** ③ **bankers' bank** and **lender of last resort** ④ **controller of credit** — bank rate, repo, CRR (S.42), SLR, open market operations, selective credit control ⑤ **regulator and supervisor** of banks (BR Act) and NBFCs ⑥ **foreign exchange** manager (FEMA) ⑦ **payment systems** (PSS Act 2007) ⑧ **monetary policy** — **Monetary Policy Committee** with an **inflation target** (S.45ZB, 2016). **Role in development**: priority-sector lending, financial inclusion, rural credit (gave birth to NABARD).

PART A · SHORT NOTE *NABARD · IDBI · Co-operative bank · Credit society*

- **NABARD** — National Bank for Agriculture and Rural Development (NABARD Act **1981**, set up **12 July 1982**): **apex refinance** for agriculture and rural development; supervises co-operative banks and RRBs; Rural Infrastructure Development Fund.
- **IDBI** — Industrial Development Bank of India (**1964**), the apex **industrial development bank**; became **IDBI Bank** (2004).
- **Co-operative bank** — a co-operative society doing banking; **dual control** (State Registrar + RBI) eased by the **2020 amendment**; urban, State and district central co-operative banks.
- **Credit society** — a **primary credit society** (e.g. primary agricultural credit society) lends to members; it is **not a bank** under the BR Act (S.3).

PART A · SHORT NOTE

Liquidity · Bankers' clearing house · Banking Ombudsman · Indigenous bankers

- **Liquidity** — ability to meet **withdrawals on demand**; secured by **CRR, SLR**; conflicts with **profitability** — the banker's balance.
- **Clearing house** — an association of banks (run by the RBI) where cheques drawn on one another are **exchanged and settled** by net balances; now **Cheque Truncation System (CTS)**, **NACH, NEFT, RTGS** under the **Payment and Settlement Systems Act 2007**.
- **Banking Ombudsman** — scheme of 1995 under **S.35A BR Act**; now the **RBI Integrated Ombudsman Scheme 2021**: free, quick redress of complaints against banks, NBFCs and payment systems (one nation, one ombudsman).
- **Indigenous bankers** — shroffs, Chettiars, Marwaris: mix banking and trade, use **hundis**, flexible but costly; outside RBI control.

PART A · SHORT NOTE

Impact of information technology on banking

- **Core banking**, **ATMs**, internet & mobile banking, **UPI** (2016), NEFT/RTGS, **CTS** (truncated cheque — image instead of paper).
- **Legal support**: **IT Act 2000** — electronic records and **electronic signatures** valid; **NI Act S.6** (2002) — 'cheque' includes **electronic cheque and truncated cheque**; **Bankers' Books Evidence Act** covers printouts; **PSS Act 2007**.
- **Benefits**: speed, 24×7 service, lower cost, **financial inclusion** (Jan Dhan–Aadhaar–Mobile). **Risks**: cyber fraud, phishing, data leaks → RBI cyber-security norms, **zero liability** for customers in third-party frauds reported in time (RBI 2017), **DPDP Act 2023**.

PART C · PROBLEM

Jan/Feb 2018

Q. The RBI cancels a bank's licence. Is there an appeal?

Issue	Can a banking company challenge cancellation of its licence?
Law	**S.22(4) BR Act** — RBI may cancel if the bank stops banking business in India, fails to meet conditions, or its affairs are conducted against depositors' interests; **opportunity of being heard** before cancellation (except where delay would harm). **S.22(5)** — **appeal to the Central Government within 30 days**; its decision is **final**. Writ under Art. 226 for illegality / breach of natural justice.
Apply	The bank must first get a hearing; if cancelled, it may appeal within 30 days.
Decision	**Yes — an appeal lies to the Central Government within 30 days (S.22(5)); beyond that, only judicial review.**

Cluster 2

Banker & customer — who they are and their relationship

TIER 1 · must prepare | Unit II · debtor–creditor · trustee · bailee · agent · fiduciary | asked 34× in 18 of 20 papers

Every past question from this cluster

Short notes: A Trust account *(Feb/Mar 2013)* · A Special customers *(Feb/Mar 2013)* · A Customer *(2013, May/June 2019)* · A Current Account *(2013)* · A Pass Book *(2013)* · A Fiduciary relationship *(June 2014, Jan/Feb 2017, 2019, Apr/May 2022 (3-hr))* · A Trustee *(2014, Dec 2015)* · A Meaning of customer *(Jan/Feb 2018)* · A Banker and customership Relationship *(May/June 2018)* · A Banker as debtor *(Feb 2021)* · A Banker *(Nov 2022)* · A Banker as trustee *(Nov 2022)* · A Principal and agent *(Apr/May 2023)*

Essays: B *Jan 2012* — Is the banker–customer relationship 'primarily' that of debtor and creditor? Illustrate. · B *Aug 2012* — Discuss the general relationship between the banker and the customer. · B *Feb/Mar 2013* — Examine and evaluate the banker–customer relationship · B *June 2014* — Law relating to the banker–customer relationship · B *2014* — Discuss the general relationship between the banker and the customer. · B *Dec 2015* — Discuss the general relationship between the banker and the customer. · B *May/June 2016* — Explain the relationship between Banker and Customer in the changing scenario in India. · B *Jan/Feb 2017* — Explain the general relationship between Banker and Customer in India. · B *May/June 2018* — Explain the general relationship between banker and customer with special reference to debtor and creditor... · B *May/June 2019* — Who is a banker? Explain the general relationship between banker and customer. · B *2019* — Discuss the general relationship between banker and customer. · B *Feb 2021* — Kinds of relationship between banker and customer · B *Apr/May 2022 (2-hr)* — Legal character of the banker–customer relationship · B *Apr/May 2022 (3-hr)* — Meaning of 'customer' and the banker–customer relationship · B *Apr/May 2023* — General relationship between banker and customer

Problems: C *Apr/May 2022 (3-hr)* — Customer deposits securities, shares and a sealed box with the bank — nature of the relationship

💡 Core idea

When you open an account, you and the bank enter a **contract**. The **general relationship** is that of **debtor and creditor** — your deposit becomes the **bank's money** and the bank **owes** it to you. On top of that, **special relationships** arise from the service used: **trustee**, **bailee** (safe custody), **agent** (collection), **lessor** (locker), **pledgee / mortgagee** (loans), **guarantor**, and a **fiduciary** duty of trust and secrecy throughout.

🏠 Real life

Priya deposits ₹1 lakh → the bank is her **debtor**. She borrows ₹50,000 → she becomes the **debtor**, the bank the **creditor**. She keeps her gold in **safe custody** → bank is a **bailee**; rents a **locker** → **lessor**; asks the bank to collect a cheque → **agent**; the bank keeps her details secret → **fiduciary**.

PART A · SHORT NOTE — Banker · Customer · Special customers

Banker: one who carries on the **business of banking** (**S.5(b) BR Act**); the NI Act (S.3) includes any person acting as a banker and a post-office savings bank. Tests: accepts deposits, repays on demand, honours cheques, collects cheques.

Customer: not defined. A person who has an **account** with the bank and whose dealings are of a **banking nature** — **Great Western Railway v London & County Banking Co** (1901): a person who occasionally cashed cheques without an account was **not** a customer. **Duration is not essential** — one becomes a customer **when the account is opened** (**Commissioners of Taxation v English, Scottish & Australian Bank**, 1920; **Ladbroke v Todd**, 1914).

Special customers need care: **minors** (contract void, but may open accounts — RBI allows 10+ to operate), **illiterate**, **lunatics**, **joint accounts**, **partnerships**, **companies** (MoA, board resolution), **trusts**, **executors**, **clubs / societies**, **Hindu Undivided Family**.

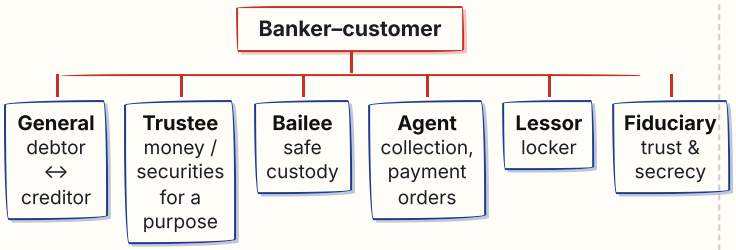
PART B · ESSAY — General relationship between banker and customer (special reference to debtor and creditor)

Q. Discuss the general relationship between banker and customer / Is it primarily debtor and creditor? / in the changing scenario in India (asked as an essay in 15 of 20 papers)

1. Introduction

The relationship is **contractual**, beginning when the bank **opens an account**. It is not one single relationship but a **bundle**: a **general** one (debtor–creditor) found in every account, and **special** ones that arise from particular services. It carries **rights** (lien, set-off, charges,

appropriation) and **duties** (honour cheques, secrecy, care) on both sides.



2. Debtor and creditor — the primary relationship

⚖️ **Foley v Hill** (1848)

Story — Foley deposited money with his banker, Hill, at agreed interest. Years later he sued for an **account** in equity, saying the banker held his money **in trust** and must account like a trustee.

Held — House of Lords: money paid into a bank **ceases to be the customer's money**; it becomes the **banker's own**, to use as he likes; the banker is a **debtor** bound to repay an **equal amount** on demand — **not a trustee**.

Why it matters — Founding rule of the **debtor–creditor** relationship.

Trick — Your money → bank's money; bank owes you.

- **Peculiarities** (vs ordinary debtor): ① the creditor (customer) must **demand** repayment — **Joachimson v Swiss Bank Corporation** (1921) ② demand at the **branch** where the account is kept ③ by a **proper written order** (cheque) ④ the banker gives **no security** ⑤ **limitation** runs only from **demand** (Art. 22 Limitation Act — 3 years).
- **Reverse**: when the customer takes a **loan / overdraft**, the bank is the **creditor** and the customer the **debtor**.

3. Special relationships

Relationship	When	Effect
Trustee & beneficiary	money or securities given for a **specific purpose** (e.g. to buy shares, pay a bill); **trust account**	bank can't use it for itself; no set-off / lien
Bailor & bailee	**safe custody** of jewels, documents, sealed boxes	**S.151 Contract Act** — care of a prudent man; return on demand; **no lien**
Principal & agent	collecting cheques, paying standing instructions, buying securities	agent's duties of care, account
Lessor & lessee	**locker** hire	bank doesn't know contents; duty of security (RBI locker norms)
Pledgee / mortgagee / hypothecatee	loans against goods, land, shares	security rights
Guarantor	bank guarantee for the customer	S.126 Contract Act
Fiduciary	always	**trust and confidence** — secrecy, honesty, good faith; no undue advantage

4. The changing scenario in India

- **Consumer**: banking is a **service** under the **Consumer Protection Act 2019**; complaints to the **RBI Ombudsman**.
- **KYC / PMLA** duties; **DICGC** deposit insurance up to **₹5 lakh**; **nomination**; **digital banking** (IT Act); **customer rights charter** (RBI 2014).
- Courts expect a **duty of care** beyond pure contract — e.g. lockers: **Amitabha Dasgupta v United Bank of India** (2021).

✅ *Conclusion (write this)*

The banker–customer relationship is **primarily debtor and creditor** (Foley v Hill), but **not only that** — depending on the service, the bank is also **trustee, bailee, agent, lessor, pledgee or guarantor**, and always a **fiduciary**. Modern law adds a **consumer** dimension.

🧠 *Memory trick*

Six hats = **D-T-B-A-L-F**: **D**ebtor · **T**rustee · **B**ailee · **A**gent · **L**essor · **F**iduciary.

PART A · SHORT NOTE

Fiduciary relationship / Banker as trustee / Principal & agent

Fiduciary: a relationship of **trust and confidence** — the bank must act in **good faith**, keep the customer's affairs **secret**, not exploit its position, and give honest advice (**Woods v Martins Bank**, 1959 — bank liable for negligent investment advice). **Trustee**: when money or securities are given for a **specific purpose**, or held in a **trust account**, the bank holds them as trustee — it can't mix them, claim lien or set-off. **Agent**: in **collecting** cheques, paying insurance premia, buying shares, the bank is the customer's **agent** and owes the duties of an agent (Contract Act S.211–213).

PART A · SHORT NOTE

Current account · Passbook · Trust account

- **Current account** — for businesses; **unlimited** transactions, **no interest** (generally), **overdraft** facility, cheques; repayable on demand.
- **Passbook** — copy of the customer's account in the bank's books; entries are **prima facie** evidence; certified copies admissible under the **Bankers' Books Evidence Act 1891**. Wrong credit: bank may **correct** it, unless the customer, relying **in good faith** on it, **changed his position** — then the bank is **estopped** (**Skyring v Greenwood**, 1825).
- **Trust account** — opened by a trustee for beneficiaries; bank can't set off the trustee's personal debts against it.

PART C · PROBLEM

Apr/May 2022 (3-hr)

Q. Mr. Shetty deposits securities, shares and a sealed box with a bank. What is the nature of the relationship?

Issue	What relationship arises when articles are deposited with a bank?
Law	**Bailment — S.148 Contract Act**; banker as **bailee** — duty of care of a **prudent man** (**S.151**), return on demand (S.160), not to use (S.154). Sealed box — bank doesn't know the contents; **safe custody** = specific purpose → **no general lien** (**Brandao v Barnett**, 1846). If the shares were deposited **as security** for a loan → **pledge**.
Apply	Deposit for safe keeping, not for a loan.
Decision	**The bank is a bailee (bailor–bailee relationship); it must take reasonable care and return the items; it has no lien over them unless they were given as security.**

Cluster 3

Banker's duties — honour cheques, secrecy & disclosure, garnishee orders

TIER 2 · important | Unit II · NI Act S.31 · Tournier · O.XXI r.46 CPC | asked 17× in 9 of 20 papers

Every past question from this cluster

Short notes: A Garnishee order *(Jan 2012, 2014, May/June 2019)* · A Banker's liability *(May/June 2019)*

Essays: B *Feb/Mar 2013* — When (a) may and (b) must a banker refuse to honour a customer's cheque? · B *Jan/Feb 2018* — When may a banker disclose a customer's affairs? · B *May/June 2019* — Banker's duty of secrecy about the customer's account · B *Nov 2022* — Rights and duties of bankers

Problems: C *Aug 2012* — A branch of a bank receives a garnishee order attaching all amounts of a customer Z. At the time of receiving the... · C *Aug 2012* — A current A/c holders instruments his banker to close his A/c and transfer his balance to another branch.... · C *Feb/Mar 2013* — Customer draws a cheque relying on passbook entries; bank refuses for insufficient funds; payee asks for a lesser... · C *Feb/Mar 2013* — Customer issues cheques, then dies; her minor son asks the bank to stop payment — discuss · C *Feb/Mar 2013* — Bank wrongly enters ₹1,00,000 instead of ₹10,000 in B's passbook; B's cheque to C is dishonoured; C sues B — decide · C *2014* — An Income Tax Officer directly writes to a bank to disclose details regarding certain customers of the bank who have... · C *Dec 2015* — An income tax officer directly writes to a banker to disclose certain details relating to his customers accounts.... · C *2019* — A customer of the banker has a deposit of Rs.1,50,000/- in his account. He issues a cheque for Rs.50,000/- to the... · C *Nov 2022* — False passbook entries lead the customer to issue a post-dated cheque — banker's position

💡 Core idea

Three duties come up again and again: ① **honour the customer's cheques** when there are funds — wrongful dishonour means **damages**; ② keep the customer's affairs **secret** — except in four situations (**Tournier**); ③ obey a **garnishee order** — a court order freezing the customer's money for his creditor.

PART B · ESSAY — When may and when must a banker refuse to honour a cheque? Rights and duties of bankers

Q. When (a) may and (b) must a banker refuse to honour a cheque? / Rights and duties of bankers (Feb/Mar 2013, Nov 2022; short note May/June 2019)

📖 Bare Act — NI Act S.31

The **drawee of a cheque having sufficient funds** of the drawer, **properly applicable** to its payment, **must pay** the cheque when **duly required**, and in default must **compensate the drawer** for any loss or damage caused by the default.

Banker MAY refuse (optional)	Banker MUST refuse (bound to)
insufficient funds (no part payment of a cheque)	**countermand / stop payment** by the drawer
post-dated cheque before its date	notice of the drawer's **death**
stale cheque (over 3 months)	notice of the drawer's **insolvency** or **insanity**
irregular: signature differs, words ≠ figures, material alteration	**garnishee order** or court injunction / attachment
mutilated, drawn on another branch, crossed cheque presented at the counter	notice of **defect in title** of the presenter / **breach of trust**
endorsement irregular (order cheque)	account **closed** or **frozen** (by law / regulator)

- **Wrongful dishonour**: S.31 — liable to the **drawer** (not the payee). Damages: a **trader** gets **substantial** damages without proof of loss (credit harmed) — **Rolin v Steward** (1854); a **non-trader** gets **nominal** damages unless special loss is shown — **Gibbons v Westminster Bank** (1939). Defamatory wording may add a libel claim.
- **Banker's rights**: **general lien**, **set-off**, **appropriation** of payments (Clayton's Case — first in, first out), charge **interest & commission**, close an account after notice.

PART B · ESSAY — Banker's duty of secrecy — when may a banker disclose a customer's affairs?

Q. When may a banker disclose a customer's affairs? / Banker's duty of secrecy (Jan/Feb 2018, May/June 2019)

⚖️ Tournier v National Provincial and Union Bank of England (1924)

Story — Tournier's account was overdrawn. When his cheque came in favour of a **bookmaker**, the bank manager phoned Tournier's **employer** to find his address and told them he was dealing with bookmakers. Tournier lost his job and sued.

Held — The bank owes an **implied contractual duty of secrecy**, which continues even after the account is closed. It may disclose only: ① under **compulsion of law** ② where there is a **duty to the public** ③ where the bank's **own interest** requires ④ with the customer's **express or implied consent**.

Why it matters — The **four exceptions** — the base of every secrecy answer.

Trick — **L-P-I-C**: **L**aw · **P**ublic duty · **I**nterest of bank · **C**onsent.

- **Compulsion of law (India)**: **Income-tax Act S.131, S.133(6)** (notices to furnish information); **Bankers' Books Evidence Act** (court order); **S.94 BNSS** (summons to produce); **PMLA** reports (suspicious /

cash transactions); **RBI** returns; **CIC** credit information (**CICRA 2005**); GST, Customs.

- **Bank's own interest**: suing the customer for a debt, guarantor enquiries. **Bankers' references** — opinions given to other banks in general terms, with implied consent.
- **Privacy**: bank records are covered by the **right to privacy** — **District Registrar & Collector v Canara Bank** (2005): an inspection law permitting seizure of bank records without safeguards was struck down; **Puttaswamy** (2017).

✅ *Conclusion (write this)*

Secrecy is the rule, disclosure the exception — only under **law, public duty, the bank's own interest or consent**; a wrongful disclosure is a **breach of contract** (and of privacy) for which the bank pays damages.

PART A · SHORT NOTE

Garnishee order

A **garnishee order** is a court order (in execution of a decree — **O.XXI r.46 CPC**, attachment of debts) served on the **bank (garnishee)** directing it **not to pay** the **judgment-debtor's** money (and to pay it to the court / creditor). **Effects**: attaches the **credit balance on the date of service** — not later deposits; covers accounts **in the debtor's own name and right**; **not** a **joint account** (for one holder's personal debt), **trust / executor accounts**, money held for a **specific purpose**, or amounts not yet due; the bank may first **set off** its own dues; it must stop paying cheques on the attached account and inform the customer.

PART C · PROBLEM

Aug 2012

Q. A branch gets a garnishee order attaching 'all amounts' of customer Z. Z has a joint account with Y (₹10,000), a current account in his own name, and an account as executor of the late M's estate. How should the banker act?

Issue — Which of Z's accounts are caught by a garnishee order for his personal debt?

Law — **O.XXI r.46 CPC**; garnishee attaches only debts due to the judgment-debtor **in the same right**. **Joint account** — money belongs to Z **and** Y jointly → not attachable for Z alone. **Executor / estate account** — Z holds it in a **representative** capacity → not his own. **Own current account** — attached. Bank may **set off** its dues first.

Apply — Only the current account in Z's **sole name** is attached; the bank must freeze it, set off any debt Z owes the bank, and report to the court.

Decision — **Freeze Z's own current account; do not freeze the joint account or the estate account; inform the court and the customer.**

PART C · PROBLEM

Feb/Mar 2013 · Nov 2022

Q. Due to the bank's error, B's passbook shows ₹1,00,000 instead of ₹10,000. B issues a cheque to C relying on it; it is dishonoured; C sues B. (Nov 2022: false passbook entries lead the customer to issue a post-dated cheque.)

Issue — Is the bank bound by a wrong credit entry, and who is liable to C?

Law — Bank may **correct a mistaken credit**; it is **estopped** only if the customer ① **relied in good faith** on the entry ② **changed his position** ③ the error was the bank's — **Skyring v Greenwood** (1825); **Holland v Manchester & Liverpool District Banking Co** (1909). **S.30 NI** — drawer liable to the payee on dishonour; **S.138** if for a debt.

Apply — A tenfold error is one B should have known (he deposited only ₹10,000) — no good-faith reliance. B remains liable to C. If the error were small and B honestly relied, he could recover his loss from the bank.

Decision — **C succeeds against B (as drawer); B has a claim against the bank only if he honestly relied on the entry to his detriment — not on these facts.**

PART C · PROBLEM

Feb/Mar 2013

Q. A customer issues cheques and then dies. Her minor son asks the bank to stop payment. Discuss.

Issue — Can the bank pay cheques after the drawer's death?

Law — A cheque is a **mandate**; it ends on **notice of the drawer's death** (Contract Act S.201, 208). After notice, the bank **must refuse** ('drawer deceased') and pay the balance only to the **nominee** (S.45ZA BR Act) or **legal heirs**. A **minor** has no authority as such — but his message is **notice of death**.

Apply — Once the bank knows of the death, it must stop; cheques already paid before notice are valid.

Decision — **The bank must stop payment on receiving notice of death (from anyone, after verifying); the money goes to the nominee / legal heirs (the minor through his guardian).**

PART C · PROBLEM

Aug 2012

Q. A customer instructs the bank to close his account and transfer the balance to another branch. A cheque later presented is returned 'refer to drawer'. He sues, alleging damage to his credit.

Issue — Is returning a cheque 'refer to drawer' after the customer closed the account wrongful or defamatory?

Law — **S.31** — duty to pay arises only with **sufficient funds properly applicable**; the account was closed on **his own instruction**. '**Refer to drawer**' is a recognised dishonour phrase, held **not defamatory** — **Flach v London & South Western Bank** (1915). Better practice: '**account transferred**'.

Apply — No funds in that account; the bank acted on his own mandate.

Decision — **Suit fails — dishonour was not wrongful; at most the bank should have marked it 'account transferred'.**

PART C · PROBLEM *2019 · 2020*

Q. A customer has ₹1,50,000 in his account and issues a cheque for ₹50,000; the bank refuses it. (2020: balance ₹1,00,000, cheque for ₹1,10,000 — advise the payee Z.)

Issue — Is dishonour wrongful when funds are sufficient? What when they are not?

Law — **S.31 NI** — sufficient funds → **must pay**; wrongful dishonour → **damages** (trader: substantial; non-trader: nominal — **Gibbons**). Insufficient funds → bank **cannot pay part** of a cheque; payee's remedy is against the drawer — **S.30, S.138–142**.

Apply — Case 1: no lawful ground to refuse → the bank is liable to the **drawer**. Case 2: the bank rightly refused; Z must give notice within **30 days**, wait **15 days**, then complain.

Decision — **2019: the bank is liable for wrongful dishonour to its customer. 2020: refusal was lawful; Z should proceed under S.138 NI Act (and/or a civil suit).**

PART C · PROBLEM *2014 · Dec 2015*

Q. An income-tax officer writes directly to a bank asking for details of certain customers' accounts. Must the banker disclose?

Issue — Is a banker bound to disclose customer information to an income-tax officer?

Law — **Tournier** — disclosure under **compulsion of law**. **Income-tax Act S.133(6)** — the assessing officer may require **any person, including a banking company**, to furnish information; **S.131** — powers of a civil court to compel production. A **mere informal letter** not under any statutory power creates no obligation.

Apply — If the letter is a **notice under S.133(6) / S.131**, the bank must comply; it should disclose **only what is asked**.

Decision — **Yes, if the request is made under the Income-tax Act (S.133(6) / S.131) — it is compulsion of law; otherwise the duty of secrecy prevails and the bank may decline.**

Cluster 4

Negotiable instruments — meaning, kinds, features & presumptions

TIER 1 · must prepare | Unit III · NI Act S.4–6, 13, 17–25, 118 · Amendment 2018 | asked 60× in 20 of 20 papers

Every past question from this cluster

Short notes: A Dividend warrants *(Jan 2012, Jan/Feb 2018, Feb 2021)* · A Bankers' cheques *(Jan 2012)* · A Divided warrants *(Aug 2012)* · A Banker's drafts *(Aug 2012)* · A Railway receipt *(Feb/Mar 2013)* · A Receipts *(2013)* · A Assignment *(2013)* · A Traveller's cheque *(June 2014, Feb 2021)* · A Promissory note *(June 2014, May/June 2016, Aug/Sept 2021, Apr/May 2022 (2-hr))* · A Banker's drafts *(June 2014)* · A Document of title to goods *(June 2014)* · A Negotiable instrument *(2014, May/June 2016)* · A Traveller's cheque *(2014, Dec 2015)* · A Bill of exchange *(Dec 2015, Jan/Feb 2017, May/June 2018)* · A Days of grace *(Jan/Feb 2017)* · A Travellers cheques *(Jan/Feb 2017)* · A Travellers' cheques *(Jan/Feb 2018)* · A Promissory notes *(Jan/Feb 2018)* · A Cheque *(May/June 2018)* · A Dividend warrant *(May/June 2018)* · A Money order *(May/June 2018)* · A Bankers Draft *(2019)* · A Postal Order *(2019)* · A Inchoate Instrument *(2020)* · A Foreign Instrument *(2020)* · A Bills in sets *(Aug/Sept 2021)* · A Deemed negotiable instruments *(Apr/May 2022 (3-hr))* · A Kinds of negotiable instruments *(Apr/May 2023)*

Essays: B *June 2014* — Salient features of the NI Act · B *2014* — Define a cheque and discuss the various kinds of cheques. · B *Dec 2015* — Discuss the salient features of the Negotiable Instruments Act. · B *May/June 2016* — What are the legal presumptions of a Negotiable instrument? · B *Jan/Feb 2017* — What is meant by "Negotiable Instrument"? What are its characteristic features? · B *Jan/Feb 2018* — Definition and main characteristics of a negotiable instrument · B *May/June 2018* — Discuss the salient features of the negotiable instruments Act. · B *2019* — What is a negotiable instrument? Is a cheque a negotiable instrument? Explain. · B *2020* — Explain in detail the evidential presumptions of Negotiable instruments. · B *Feb 2021* — Define a cheque and discuss its kinds · B *Aug/Sept 2021* — Define presentment of a negotiable instrument; define cheque and distinguish it from a bill of exchange · B *Aug/Sept 2021* — Presumptions as to negotiable instruments under the NI Act · B *Apr/May 2022 (2-hr)* — Negotiable instrument — definition and general characteristics

Problems: C *2013* — Kishore accepts a bill payable at the Punjab National Bank, Chandini Chowk and nowhere else. Discuss the validity of... · C *June 2014* — Bill for 'one thousand rupees' with ₹100 written in the margin — valid? for what amount? · C *Dec 2015* — A signs an instrument in the following terms: "I promise to pay B or order Rs.500" what is this instrument? · C *May/June 2019* — An instrument saying 'please let the bearer have...' — is it a bill of exchange? · C *May/June 2019* — Bill payable to X or order: amount in words differs from the figures · C *2020* — Promissory note dated 1.2.2018 payable after two months. After date was mentioned in the note and addressed to the... · C *Aug/Sept 2021* — Promissory note dated 31 July payable 'one month after date' — when is it due? · C *Apr/May 2022 (3-hr)* — Cheque payable 'provided the receipt form at foot is duly signed' — is it a valid cheque? · C *Nov 2022* — 'I promise to pay B ₹500 when B delivers the goods' — is it a promissory note?

💡 Core idea

A **negotiable instrument** is paper (or now electronic) money: a written promise or order to pay a **certain sum**, which passes **from hand to hand** like cash — by **delivery** (bearer) or **endorsement and delivery** (order) — and a **holder in due course** gets a **good title even if the transferor's title was defective**.

📖 Bare Act — NI Act S.13 · S.4 · S.5 · S.6

S.13: a negotiable instrument means a **promissory note, bill of exchange or cheque** payable either **to order or to bearer**. **S.4 Promissory note**: an instrument in writing (not a bank or currency note) containing an **unconditional undertaking**, **signed by the maker**, to pay a **certain sum of money** only to, or to the order of, a **certain person**, or to the bearer. **S.5 Bill of exchange**: an instrument in writing containing an **unconditional order**, signed by the maker, **directing a certain person** to pay a certain sum of money only to, or to the order of, a certain person or to the bearer. **S.6 Cheque**: a bill of exchange **drawn on a specified banker** and **not expressed to be payable otherwise than on demand** — includes the **electronic** and **truncated** cheque.

PART B · ESSAY — Negotiable instrument — definition, characteristics, presumptions; salient features of the NI Act

Q. What is a negotiable instrument? Its characteristics / Salient features of the NI Act / Legal (evidential) presumptions (June 2014, Dec 2015, 2016, 2017, Jan/Feb 2018, May/June 2018, 2019, 2020, Aug/Sept 2021, Apr/May 2022)

1. Characteristics

1. **Freely transferable** — by delivery (bearer) or endorsement + delivery (order).
2. **Holder in due course gets a good title** free from defects of prior parties (**S.9, 53, 58**) — the key difference from ordinary assignment (where the assignee takes subject to defects).
3. Holder can **sue in his own name**; **no notice** of transfer to the debtor is needed.
4. **Presumptions** in favour of the holder (**S.118, 139**).
5. **Certainty** — certain sum of money, certain parties, unconditional.
6. **Summary procedure** (O.XXXVII CPC) and **criminal remedy** for dishonoured cheques (**S.138**).

2. Presumptions — S.118 (and S.139)

Until the contrary is proved, it is presumed that…	
(a) consideration	made, drawn, accepted, endorsed, transferred for consideration
(b) date	made or drawn on the date it bears
(c) time of acceptance	accepted within a reasonable time after date and before maturity
(d) time of transfer	transferred before maturity
(e) order of endorsements	in the order in which they appear
(f) stamp	a lost instrument was duly stamped
(g) holder in due course	the holder is a holder in due course (except where obtained by offence / fraud — then he must prove it)

S.139: the holder of a cheque is presumed to have received it for the **discharge of a debt or liability** — **Rangappa v Sri Mohan** (2010): it includes a **legally enforceable debt**; the accused can **rebut** on a **preponderance of probabilities**. **S.119–122**: presumptions on protest, estoppel against denying the payee's capacity / original validity.

3. Salient features of the NI Act, 1881

- Defines **PN, bill, cheque** (S.4–6), **holder, HDC** (S.8–9), **payment in due course** (S.10); **inland / foreign** instruments (S.11–12); **ambiguous** instruments (S.17); words prevail over figures (S.18); **inchoate** instruments (S.20).
- **Maturity & days of grace** (S.21–25); **parties' liability** (S.26–45A); **negotiation & endorsement** (S.46–60); **presentment** (S.61–77); **payment & discharge** (S.78–90); **dishonour, noting, protest** (S.91–104A); **crossing** (S.123–131A); **bills in sets** (S.132–133).
- **Chapter XVII (S.138–148)**: criminal liability for **dishonour of cheques** — **Amendment 1988**, **2002** (electronic cheques, summary trial), **2015** (jurisdiction), **2018** (**S.143A interim compensation up to 20%**; **S.148 appellate deposit of at least 20%**).

✅ *Conclusion (write this)*

The NI Act makes paper promises **as good as money** — easy transfer, protection for the **holder in due course**, strong **presumptions**, and quick **civil and criminal remedies** — which is why trade and banking rely on it.

Point	*Promissory note*	*Bill of exchange*	*Cheque*
Parties	**2** — maker, payee	**3** — drawer, drawee, payee	**3** — drawer, **bank**, payee
Nature	**promise** to pay	**order** to pay	order on a **banker**
Acceptance	not needed	needed (time bills)	not needed
Payable	on demand / time	on demand / time	**always on demand**
Days of grace	yes (time)	yes (time)	**no**
Bearer	**cannot** be payable to bearer on demand (RBI Act S.31)	same	**can** be bearer
Crossing · countermand · S.138	no	no	**yes**

PART A · SHORT NOTE

Kinds of negotiable instruments; deemed negotiable instruments

By statute (S.13): promissory note, bill of exchange, cheque. **By custom / usage (deemed negotiable)**: **hundis**, **bankers' drafts** (S.85A), **dividend warrants**, Government promissory notes, treasury bills, **bearer debentures**, share warrants. **Not negotiable**: **postal orders, money orders**, share certificates, IOUs, and documents of title such as **railway receipts / bills of lading** (transferable, but the transferee gets no better title). Other classes: **inland / foreign** (S.11–12), **demand / time**, **bearer / order**, **inchoate** (S.20), **ambiguous** (S.17), **accommodation bill** (S.43), **bills in sets** (S.132).

PART A · SHORT NOTE

Cheque and its kinds

- **Bearer** (payable to holder by delivery) · **order** (to payee or his order — needs endorsement) · **open** (cash at counter) · **crossed** (only through a bank — Cluster 7).
- **Post-dated** (future date — valid, payable on that date) · **ante-dated** · **stale** (presented after **3 months** — RBI 2012) · **mutilated** · **self** · **gift** cheque · **truncated / electronic** (S.6).

PART A · SHORT NOTE

Traveller's cheque · Banker's draft · Dividend warrant · Money / postal order

- **Traveller's cheque** — prepaid instrument sold by a bank for a fixed amount; signed once on purchase and **countersigned** before the payer when used; replaceable if lost; now rare (cards, forex cards).
- **Banker's draft / demand draft** — an order by **one branch on another** (or on another bank) to pay a sum to a person; the bank is both drawer and drawee; **not countermandable** by the buyer; protected by **S.85A**. **Banker's cheque** — on the same branch.
- **Dividend warrant** — an order by a **company on its banker** to pay the shareholder his dividend; treated as a **cheque** (deemed negotiable); valid for **3 months**; can be crossed.
- **Money order / postal order** — Post Office remittances under the Post Office Act; **not negotiable instruments**.

PART A · SHORT NOTE

Days of grace · Maturity · Inchoate instrument · Foreign instrument · Bills in sets

- **Maturity** (S.22) — the date on which the instrument falls due. Every PN or bill **not payable on demand / at sight / on presentment** gets **3 days of grace**. **S.23**: 'months after date' = calendar months; if no corresponding date, the **last day** of that month. **S.24**: in 'days after date / sight' the **day of date / presentment is excluded**. **S.25**: if the due date is a **public holiday**, it is payable on the **preceding business day**.
- **Inchoate instrument** (S.20) — a **signed, stamped** paper delivered **blank or incomplete** gives the holder authority to fill it up to the amount the stamp covers; a **holder in due course** can enforce it for the amount filled.
- **Inland** (S.11) — drawn or made in India and payable in India / drawn on a person resident in India; **foreign** (S.12) — all others; foreign bills must be **protested** on dishonour (S.104).
- **Bills in sets** (S.132–133) — a foreign bill drawn in **parts** (first, second, third of exchange) sent separately; together they make **one bill**; payment of one discharges all.

PART C · PROBLEM **Dec 2015 · Nov 2022**

Q. A signs: "I promise to pay B or order ₹500." What is this instrument? (Nov 2022: "I promise to pay B ₹500 when B delivers the goods" — is it a promissory note?)

Issue	Are these valid promissory notes?
Law	**S.4** — unconditional undertaking, signed by the maker, to pay a **certain sum** to a **certain person** or his order. Illustrations to S.4: "I promise to pay B or order ₹500" — **a promissory note**; a promise conditional on an **uncertain event** ('seven days after my marriage with C') or mixed with other things ('and deliver my black horse') — **not** a PN.
Apply	The first is unconditional, certain, signed — a PN. The second depends on B delivering goods — a **condition** that may never happen.
Decision	**First: a valid promissory note. Second: not a promissory note — it is only a conditional promise (a contract).**

PART C · PROBLEM **May/June 2019**

Q. An instrument reads: "Please let the bearer have ₹... and debit my account." Is it a bill of exchange?

Issue	Do polite words make an order a mere request?
Law	**S.5** — an **unconditional order**; polite words ('please', 'oblige') do not change an order into a request — **Ruff v Webb** (1794). If drawn on a **banker** and payable on demand it is a **cheque** (S.6). A bill payable **to bearer on demand** can't be issued by private persons other than as a cheque (**RBI Act S.31**).
Apply	It directs the addressee to pay; 'please' is courtesy.
Decision	**Yes, it is an order and hence a bill of exchange (a cheque if addressed to a bank).**

PART C · PROBLEM **May/June 2019 · June 2014**

Q. A bill payable to X or order shows the amount in words different from the figures (June 2014: 'one thousand rupees' in words, ₹100 in the margin). For what amount is it valid?

Issue	Which prevails — words or figures?
Law	**S.18 NI Act** — if the amount in **words** differs from the amount in **figures**, the amount stated **in words** is the amount payable.
Apply	Words govern; the figures in the margin are only a guide.
Decision	**Valid, for the amount in words — ₹1,000 in the June 2014 problem.**

PART C · PROBLEM **2020 · Aug/Sept 2021**

Q. A promissory note dated 1-2-2018 is payable two months after date (2021: a note dated 31 July payable 'one month after date'). When is it due?

Issue How is the date of maturity calculated?

Law **S.22** — **3 days of grace** for time instruments. **S.23** — 'months after date' = calendar months. **S.25** — if the due day is a **public holiday**, payable on the **preceding business day**.

Apply Note 1: 1-2-2018 + 2 months = 1-4-2018 + 3 days → **4-4-2018**. Note 2: 31 July + 1 month = 31 August + 3 days → **3 September**.

Decision **Due on 4 April 2018 and 3 September respectively (the preceding business day if that is a public holiday).**

PART C · PROBLEM *Apr/May 2022 (3-hr)*

Q. A cheque says it is payable 'provided the receipt form at the foot is duly signed'. Is it a valid cheque?

Issue Does a condition addressed to the bank make a cheque conditional?

Law **S.5, 6** — the order must be **unconditional**. **Bavins Jr & Sims v London & South Western Bank** (1900): an order to pay '**provided the receipt form at foot is duly signed**' was **conditional** → **not a cheque**. Contrast **Nathan v Ogdens** (1905): where the condition is addressed **to the payee** only, it remains a cheque.

Apply Here the condition is addressed to the **banker** (pay only if receipt signed).

Decision **Not a valid cheque / negotiable instrument — it is a conditional order.**

PART C · PROBLEM *2013*

Q. Kishore accepts a bill 'payable at the Punjab National Bank, Chandni Chowk, and nowhere else'. Is the acceptance valid, and what is its effect?

Issue Is a local acceptance a qualified acceptance?

Law **S.86 NI Act** — an acceptance is **qualified** where, no place of payment being specified in the bill, it undertakes payment **at a specified place and not otherwise or elsewhere**. The holder may **refuse** it and treat the bill as **dishonoured**; if he **takes** it without the consent of prior parties, they are **discharged**.

Apply Kishore's acceptance is a **qualified (local) acceptance**.

Decision **Valid but qualified: binding on Kishore; the holder may treat it as dishonour, and if he accepts it without the drawer's / endorsers' consent, they are discharged.**

Cluster 5

Holder, holder in due course, negotiation & endorsement

TIER 1 · must prepare | Unit III · NI Act S.8–9, 14–16, 43, 46–60 | asked 30× in 13 of 20 papers

Every past question from this cluster

Short notes: A Holder in due course *(Feb/Mar 2013, June 2014, Aug/Sept 2021)* · A Conditional Endorsement *(May/June 2016)* · A Blank endorsement *(Jan/Feb 2017)* · A Bank endorsement *(2019)* · A Kinds of Indorsement *(2020)*

Essays: B *2013* — What are the different kinds of endorsement of cheques? · B *Apr/May 2022 (2-hr)* — Endorsement and its different kinds

Problems: C *June 2014* — B obtains A's acceptance by fraud, endorses to C (holder in due course); C endorses to D, who knows of the fraud —... · C *Dec 2015* — 'A' drew cheques in favour of B. A's clerk forged B's endorsement and negotiated the cheques to 'C' who took in good... · C *May/June 2016* — 'A', the holder of a bill, endorses it to 'B or order' for the express purpose that 'B' get it discounted. B... · C *May/June 2016* — A, at point of pistol, forces 'B' to issue a bearer cheque in the name of 'A'. A afterwards hands over the cheque to... · C *May/June 2016* — 'B' obtains A's acceptance to a bill by fraud. B endorses it to 'C' who takes it as a holder in due course. 'C'... · C *Jan/Feb 2017* — The holder of a promissory note for Rs.1,000 writes on it "Pay B Rs.500" and endorses the note. Explain the... · C *Jan/Feb 2017* — A cheque is drawn payable to 'X' or bearer. Y steals it and negotiates it to Z. Is it possible for 'X' to get back... · C *Jan/Feb 2017* — A bill payable to "X or order" was stolen. Y forged X's endorsement and endorsed it to 'Z', who takes it for value... · C *Jan/Feb 2018* — A cheque given as a gift — is the donee a holder in due course? · C *Jan/Feb 2018* — Bill obtained by fraud — does a later endorsee get good title? · C *May/June 2018* — A cheque which is drawn as payable to 'X' or bearer is lost 'Y' finds the cheque and negotiates it to 'M'.... · C *May/June 2018* — A bill payable to "X or order" was stolen by 'Y' who forged X's endorsement and negotiated the cheque to 'Z'. 'Z'... · C *May/June 2018* — A Negotiable instrument is for Rs 10,000 the owner of the instrument endorses it for Rs 5,000. Decide whether this... · C *May/June 2018* — "An endorsement on a cheque says 'pay C if he returns from Paris. If C does not return from Paris and Yet wants to... · C *2019* — The holder of a promissory note for Rs.10,000 writes on it "pay Rs.6,000" and endorses the note. Examine the... · C *2019* — If 'X' the endoser of a negotiable instrument on cheque endorses it in blank and transfer into 'Y' who in turn... · C *2020* — An endorsement on a cheque says "Pay C if he returns from London", A conditional endorsement. If 'C' does not return... · C *Feb 2021* — X endorses a cheque in blank to Y, Y to Z, Z hands it to M without endorsement; dishonoured — whom can M sue? · C *Feb 2021* — Cheque payable to X or order; X writes 'pay to Y' — consequences · C *Feb 2021* — Holder of a ₹50,000 promissory note writes 'Pay ₹25,000' and endorses it — consequences · C *Aug/Sept 2021* — Accommodation bill passes A → B → C (no consideration) → D (for value) → E (no consideration) and is dishonoured —...

💡 Core idea

Negotiation = transferring an instrument so the transferee becomes its **holder** (S.14) — a **bearer** instrument by **delivery** (S.47), an **order** instrument by **endorsement + delivery** (S.48). A **holder in due course** (HDC) — who took it **for value, before maturity, in good faith** — gets a **better title** than his transferor. That is the heart of most **Part C problems**.

Holder — S.8

entitled **in his own name** to **possession** and to **receive / recover** the amount; a payee or endorsee (order) or bearer. **Not** a holder: a **thief** or **finder**, or one holding under a **forged** endorsement

v/s

Holder in due course — S.9

① for **consideration** ② **before maturity** ③ **without sufficient cause to believe** any defect in the transferor's title ④ **possessor** (bearer) or **payee / endorsee** (order)

PART B · ESSAY

Holder in due course — meaning and privileges

Q. Holder in due course (short notes Feb/Mar 2013, June 2014, Aug/Sept 2021; and in most Part C problems)

Privilege of an HDC	Section
gets a good title even if a prior party's title was defective (fraud, duress, theft) — except forgery	**S.58** (exception), S.9
every prior party remains liable to him until the instrument is paid	**S.36**
a holder deriving title from an HDC gets the HDC's rights, unless he was party to the fraud	**S.53**
prior parties can't plead that the payee had no capacity to endorse, or that the instrument was originally invalid	**S.120–121**
an inchoate stamped instrument can be enforced for the amount filled in	**S.20**
an accommodation party is liable to him	**S.43, 59**
he is presumed to be an HDC	**S.118(g)**

✅ Conclusion (write this)

An HDC is the law's favourite holder: **value + good faith + before maturity** buys a title that is **cleaner than the transferor's** — the only thing it can't cure is a **forgery**, which passes **no title at all**.

PART B · ESSAY

Endorsement and its kinds

Q. What are the different kinds of endorsement? (2013, Apr/May 2022; short notes 2016, 2017, 2019, 2020)

Endorsement (S.15): the holder **signs** on the back or face of the instrument (or on a slip attached — an **allonge**) for the purpose of **negotiation**. The signer is the **endorser**, the transferee the **endorsee**.

Kind	Meaning	Section
Blank	only the endorser's **signature** → instrument becomes payable to **bearer**; any holder can convert it into full	S.16, 49, 54
Full / special	'**Pay C or order**' + signature → payable to C's order; further negotiation needs C's endorsement	S.16, 50
Restrictive	stops further negotiation — '**Pay C only**', 'pay C for collection'	S.50
Sans recourse	endorser **excludes his own liability** — 'without recourse to me'	S.52
Conditional	endorser's liability or endorsee's right depends on an **event** — 'pay C **if he returns from Paris**'	S.52
Facultative	endorser **gives up a right** (e.g. waives notice of dishonour)	—
Partial	for **part** of the amount — **not a valid negotiation** unless part is already paid	S.56

🧠 *Memory trick*

Endorsement kinds = **B-F-R-S-C-F-P**: **B**lank · **F**ull · **R**estrictive · **S**ans recourse · **C**onditional · **F**acultative · **P**artial (invalid).

PART C · PROBLEM *2017 · 2018 · 2019 · Feb 2021*

Q. The holder of a promissory note for ₹1,000 writes on it "Pay B ₹500" and endorses it (2018: an instrument for ₹10,000 endorsed for ₹5,000; Feb 2021: ₹50,000 note, 'Pay ₹25,000').

Issue — Is an endorsement for part of the amount valid?

Law — **S.56 NI Act** — an endorsement for **part of the amount** does **not operate as a negotiation**. But where the amount has been **partly paid**, a note of that may be made and the instrument **endorsed for the balance**.

Apply — If ₹500 (half) had already been paid and noted, the endorsement for the balance is valid; otherwise it is a partial endorsement.

Decision — **Not a valid negotiation — B gets no rights as endorsee — unless the rest was already paid, in which case it is valid for the balance.**

PART C · PROBLEM *May/June 2018 · 2020*

Q. An endorsement on a cheque says 'Pay C if he returns from Paris (London)'. C hasn't returned but claims the amount. Can he succeed?

Issue — Can a conditional endorsee claim before the condition is fulfilled?

Law — **S.52 NI Act** — the endorser may make the **right of the endorsee** to receive the amount depend on a **specified event**, even one that may never happen. The condition binds **endorser and endorsee**.

Apply — C has not returned — the event hasn't happened.

Decision — **No. C can't claim until he returns from Paris/London; if he never returns, he never becomes entitled (as against the endorser).**

PART C · PROBLEM *Jan/Feb 2017 · May/June 2018*

Q. A bill payable to 'X or order' is stolen; Y forges X's endorsement and negotiates it to Z, who takes it for value in good faith. Does Z get a good title?

Issue — Can a holder in good faith claim through a forged endorsement?

Law — A **forged endorsement is a nullity** — no title passes through it; Z is **not a holder**, still less an HDC. **S.58** protects an HDC only against **loss, theft, fraud, unlawful consideration** — not where the chain needs a forged signature. (Paying banker's protection — **S.85(1)** — is different.)

Apply — The bill is payable to X's order; only X's genuine endorsement could pass it.

Decision — **Z gets no title; X (true owner) can recover the bill / its value from Z; Z's remedy is against Y.**

PART C · PROBLEM *Jan/Feb 2017 · May/June 2018*

Q. A cheque payable to 'X or bearer' is stolen (or lost and found) by Y, who negotiates it to Z (or M) for value in good faith. Can X get it back?

Issue — Does a finder / thief of a bearer instrument pass a good title to an HDC?

Law — Bearer instrument — negotiated by **mere delivery** (S.47); **S.58** — no possessor claiming through a finder / thief can recover **unless he (or someone he claims through) is a holder in due course**. **S.9** — HDC: value, good faith, before maturity.

Apply — Z/M took it for value without notice — an **HDC** — so the defect of Y's title doesn't affect him.

Decision — **No. Z (M) as an HDC gets a good title; X's remedy is only against Y.**

PART C · PROBLEM *May/June 2016*

Q. A, at pistol point, forces B to issue a bearer cheque in A's name; A gives it to C, who takes it in good faith for value. Is C a holder in due course?

Issue	Does an HDC take free of duress / an offence in obtaining the instrument?
Law	**S.9** HDC; **S.58** — an instrument obtained by an **offence or fraud** can't be enforced by anyone claiming through the wrongdoer **unless he is an HDC**. **S.118(g)** — if obtained by offence, the holder must **prove** he is an HDC.
Apply	C gave value, before maturity, without knowing of the duress — he is an HDC.
Decision	**Yes, C is a holder in due course and can recover from B; B's remedy is against A (criminal and civil).**

PART C · PROBLEM *June 2014 · May/June 2016 · Jan/Feb 2018*

Q. B obtains A's acceptance to a bill by fraud and endorses it to C, a holder in due course. C endorses it to D, who knows of the fraud. Can D recover from A?

Issue	Does a holder who knows of the fraud but takes from an HDC get the HDC's rights?
Law	**S.53 NI Act** — a holder who derives title from a **holder in due course** has the **rights of that HDC**, unless he was himself a **party to the fraud** or illegality. Illustration to S.53 is this very case.
Apply	D merely **knows** of the fraud; he wasn't a party to it, and he claims through C (an HDC).
Decision	**Yes, D can recover from A — unless D was party to the fraud.**

PART C · PROBLEM *May/June 2016*

Q. A, the holder of a bill, endorses it to 'B or order' so that B may get it discounted. B instead negotiates it to C, who takes it in good faith for value. What is C's position?

Issue	Can A refuse to pay C because B misused the bill?
Law	**S.9** HDC; **S.58** — defects in the title of a prior party don't affect an HDC; the endorsement was **unrestricted** ('B or order').
Apply	C gave value without notice of the agreed purpose.
Decision	**C is a holder in due course with a good title; A is liable to C and must look to B.**

PART C · PROBLEM *Jan/Feb 2018*

Q. A cheque is given to the payee as a gift. Is the donee a holder in due course?

Issue	Can a person who gave no consideration be an HDC?
Law	**S.9** — an HDC must take **for consideration**. **S.43** — an instrument made without consideration creates **no obligation** between the parties.
Apply	The donee is a **holder** (he can sue in his own name) but not an HDC; the drawer can plead **want of consideration** against him. If the donee transfers it to someone **for value**, that person can be an HDC.
Decision	**No. The donee is only a holder, and the drawer may refuse to pay him for lack of consideration.**

PART C · PROBLEM *2019 · Feb 2021*

Q. X endorses a cheque in blank and gives it to Y; Y endorses it in full to Z; Z hands it to M without endorsing. It is dishonoured. Whom can M sue?

Issue	What are the rights of a holder by delivery after a blank and then a full endorsement?
Law	**S.54** — an instrument endorsed **in blank** is payable to **bearer** (as against the blank endorser). **S.55** — if, after a blank endorsement, it is endorsed **in full**, the amount **cannot be claimed from the endorser in full (Y)** except by the endorsee (Z) or one deriving title **through Z's endorsement**. **S.35** — only one who **signs** is liable as endorser; Z didn't sign.
Apply	As against X (blank) it is a bearer instrument → M can sue X (and the drawer). Y is liable only to Z or Z's endorsee. Z is not liable on the instrument (no signature) but is liable to M on the **transaction** (consideration).
Decision	**M can sue the drawer and X; not Y (S.55) and not Z as endorser — only on the underlying deal.**

PART C · PROBLEM *Feb 2021*

Q. A cheque is payable to 'X or order'. X writes 'Pay to Y' (or 'Pay to Y or order') and signs. Consequences?

Issue	What is the effect of a full endorsement?
Law	**S.16** — full / special endorsement; **S.50** — it transfers the property and the right of further negotiation; 'Pay to Y' = 'Pay to Y or order' unless restricted (S.50).
Apply	Y becomes the endorsee and holder; he can negotiate it further by his own endorsement.
Decision	**Y is the holder with full rights; X is liable to him as endorser (S.35); without X's signature, there is no endorsement at all.**

PART C · PROBLEM *Aug/Sept 2021*

Q. X accepts a bill for A's accommodation. A transfers it to B, B to C (no consideration), C to D (for value), D to E (no

consideration). X dishonours it. Rights of A, B, C, D and E?

Issue	Who can recover on an accommodation bill passed partly without consideration?
Law	**S.43** — no consideration → no obligation between the immediate parties, **but** where a party has transferred it to a **holder for consideration**, that holder **and every subsequent holder deriving title from him** may recover from **any prior party**. **S.59** — an accommodation bill can be negotiated even after maturity to an HDC.
Apply	A (accommodated party) has no claim against X. B and C gave nothing — no claim. D gave value — can sue X, A, B, C. E took from D without value — but derives title from D, a holder for consideration — so he can sue all parties **prior to D**, though **not D**.
Decision	**A, B, C — no rights. D — can sue X, A, B and C. E — can sue X, A, B and C, but not D.**

Cluster 6

Liability of parties, presentment, dishonour, discharge, material alteration & S.138

TIER 1 · must prepare | Unit III · NI Act S.26–45A, 61–104A, 138–148 (Amendment 2018) | asked 20× in 11 of 20 papers

Every past question from this cluster
Short notes: A Noting and Protest *(2020)*
Essays: B *Feb/Mar 2013* — Effect of alteration of a negotiable instrument on parties before and after it · B *2013* — What are the liabilities of a drawer and the endorsers in case of bill of exchange? · B *Dec 2015* — What are the circumstances under which a negotiable instrument shall be dishonoured. What steps shall be taken by... · B *May/June 2019* — Penal provisions of the NI Act read with the IT Act · B *May/June 2019* — Modes of discharge of parties under the NI Act, 1881 · B *2020* — State the important provisions and procedure relating to dishonoured of cheque. · B *Nov 2022* — Provisions of the NI Act on dishonour of cheques
Problems: C *2013* — The customer of a bank has taken loan from his neighbour 'X' and issued post dated cheque for the amount with... · C *June 2014* — Bill drawn on Hong Kong payable 60 days after sight is presented for acceptance five months later and dishonoured —... · C *June 2014* — Bill payable three months after sight passes through several hands; drawee refuses to pay — rights of the holder · C *Jan/Feb 2017* — 'D' accepted a bill of exchange drawn in London. An endorsee in arrangement with the drawer altered the place of... · C *May/June 2019* — Cheque presented late; the last day falls on a public holiday · C *May/June 2019* — Debtor gives his creditor a cheque that is dishonoured — creditor's rights · C *2020* — Amit issued a cheque of Rs.40,000/- in favour of a private school towards the payment of college fee. The cheque was... · C *2020* — A customer of the banker has a deposit of Rs.1,00,000/- in his account. He issues a cheque for Rs.1,10000/- in... · C *Feb 2021* — Endorsee, with the drawer's consent, alters the place of drawing on an accepted bill — is the acceptor liable? · C *Aug/Sept 2021* — A pays B by cheque; B presents in time but payment is refused because the bank has failed — B's rights · C *Aug/Sept 2021* — A signs a cheque as 'A, Agent' — is he personally liable on dishonour? · C *Apr/May 2022 (2-hr)* — Promissory note — claim against the maker's legal heirs after his death

Core idea

When an instrument is **presented** and not paid (or not accepted), it is **dishonoured**. The holder must give **notice of dishonour** to keep the drawer and endorsers liable, and for foreign bills get it **noted and protested**. For **cheques**, dishonour for want of funds is also a **crime** (**S.138**). Parties can be **discharged** — by payment, release, delay, qualified acceptance, or **material alteration**.

PART B · ESSAY

Liabilities of drawer and endorsers; dishonour and the holder's steps

Q. Liabilities of a drawer and the endorsers / Circumstances of dishonour and steps by the holder (2013, Dec 2015; short note Noting & protest 2020)

Party	Liability
Drawer (bill / cheque) — S.30	to compensate the holder on **dishonour**, provided **due notice** of dishonour was given
Drawee of a cheque — S.31	must pay if he holds **sufficient funds**; liable to the **drawer** for wrongful dishonour
Maker of a note / acceptor — S.32	to pay at maturity — **primary** liability
Endorser — S.35	to every subsequent holder, on dishonour, after due notice (unless he excluded liability — S.52)
Prior parties to an HDC — S.36	liable until the instrument is paid
Agent — S.28	personally liable unless he signs showing he signs **as agent** and doesn't intend personal liability
Legal representative — S.29	if he **signs** the instrument he is personally liable, unless he expressly limits liability to the **assets received**

Dishonour

- **By non-acceptance** (S.91): drawee refuses or fails to accept within **48 hours** (S.63), gives a **qualified** acceptance (S.86), is dead / insolvent / fictitious.
- **By non-payment** (S.92): maker, acceptor or drawee **defaults** in payment on due presentment.
- **Presentment** must be at the right **time and place** (S.61–77): a bill **after sight** must be presented for acceptance within a **reasonable time** (S.61) — otherwise prior parties are **not liable** to the defaulting holder; a cheque must be presented within a reasonable time to charge the drawer (S.72) — **S.84**: if the delay causes the drawer actual loss (bank failure), he is **discharged to that extent**.

Holder's steps after dishonour

Notice of dishonour (S.93–97 · to all prior parties) → Noting (S.99 · by notary) → Protest (S.100 · certificate) → Sue / S.138 (drawer, endorsers, acceptor)

- **Notice of dishonour** (S.93): by the holder to **all parties** he wants to make liable — within a **reasonable time**, oral or written; **not needed** when waived, when the party can't suffer, or the drawer **countermanded** (S.98).
- **Noting** (S.99): a **notary public** records on the instrument the fact, date and reason of dishonour; **protest** (S.100): a **certificate** of the notary attesting dishonour; **compulsory for foreign bills** (S.104); protest for better security (S.100); **S.119** — court presumes the dishonour on proof of protest.

✅ *Conclusion (write this)*

The drawer and endorsers are **secondary** parties — liable only after **proper presentment** and **notice of dishonour**; the maker / acceptor is **primarily** liable. Noting and protest give **official proof**, compulsory for foreign bills.

PART B · ESSAY

Modes of discharge; effect of material alteration

Q. Modes of discharge of parties / Effect of alteration on parties before and after it (May/June 2019, Feb/Mar 2013)

Mode of discharge	*Section*
Payment in due course	S.10, 78, 82(c)
Cancellation of name / release (renunciation)	S.82(a), (b)
Holder allows drawee more than 48 hours to accept	S.83
Delay in presenting a cheque — drawer loses by bank failure	S.84
Qualified acceptance taken without prior parties' consent	S.86
Material alteration	S.87
Acceptor becomes holder at or after maturity	S.90
Operation of law — insolvency, merger, limitation (3 years — Arts. 35–37)	general law

📖 *Bare Act — NI Act S.87 — material alteration*

Any **material alteration** of a negotiable instrument renders it **void as against anyone who is a party to it at the time** and does not **consent** — unless made to carry out the **common intention** of the original parties. Alterations **allowed**: filling an inchoate instrument (S.20), converting a blank endorsement into full (S.49), **crossing** (S.125), correcting a mistake by consent. **S.89** — a banker who pays an altered instrument whose alteration is **not apparent** is protected.

Material = any change that alters the **legal effect / business identity**: date, amount, time or **place of payment**, **place of drawing**, parties, interest. **Koch v Dicks** (1933): altering the **place of drawing** (making a foreign bill look inland) is material — the acceptor was discharged.

PART B · ESSAY

Dishonour of cheques — S.138 to S.148 (with the 2018 amendment); penal provisions read with the IT Act

Q. Provisions and procedure on dishonour of cheques / Penal provisions of the NI Act read with the IT Act (2020, Nov 2022, May/June 2019)

Ingredients of S.138

1. A **cheque drawn by a person** on an account **maintained by him** (electronic cheques included — **S.6**, IT Act).
2. Issued for the **discharge of a legally enforceable debt or liability** (presumed — **S.139**; *Rangappa*).
3. **Presented within its validity** (**3 months**).
4. **Returned unpaid** for **insufficient funds** or **exceeding the arrangement** — also 'account closed', '**stop payment**' (**Modi Cements v Kuchil Kumar Nandi**, 1998), signature mismatch with mala fides.
5. **Demand notice** in writing within **30 days** of the bank's information.
6. Drawer **fails to pay within 15 days** of receiving the notice.

- **Punishment**: up to **2 years**, or fine up to **twice the cheque amount**, or both.
- **Complaint** within **1 month** of the cause of action (S.142(1)(b)), by the **payee / holder in due course**; cognizance by a **JMFC**; **jurisdiction** — court where the **payee's bank branch** is (S.142(2), **2015**, after *Dashrath Rupsingh Rathod*, 2014).
- **Companies** — every person in charge is liable (S.141); **summary trial** (S.143); evidence on **affidavit** (S.145); **compoundable** (S.147).
- **2018 amendment**: **S.143A** — trial court may order **interim compensation up to 20%**; **S.148** — appellate court may order the convict to **deposit at least 20%** of the fine / compensation.
- **Read with the IT Act**: 'cheque' includes the **electronic cheque** (with a secure **electronic signature**, IT Act S.3A) and the **truncated cheque** (S.6, 64(2)); electronic records and signatures are legally valid (IT Act S.4–5), so **S.138 applies equally** to them.

✅ *Conclusion (write this)*

S.138 turned a civil debt into a **quick criminal remedy** to protect the **credibility of cheques**; the 2018 amendment added **interim compensation** and **appeal deposits** to stop delaying tactics.

PART C · PROBLEM

2013 · May/June 2019 · 2020

Q. A customer borrows from his neighbour and gives a post-dated cheque, which is dishonoured for insufficient funds (or: a fee cheque to a school returned unpaid; a debtor's cheque to his creditor dishonoured). Remedy?

Issue	What can the payee of a dishonoured cheque do?
Law	**S.138–142 NI Act**; **S.139** presumption; a **post-dated** cheque is a cheque on its date; a **friendly loan / fee** is a legally enforceable debt. Also **civil suit** (O.XXXVII summary suit) on the cheque and the debt.
Apply	Payee sends notice within 30 days of the return memo; if unpaid in 15 days, files a complaint within a month before the JMFC.
Decision	**The payee can prosecute under S.138 (and seek interim compensation, S.143A) and/or sue for the money.**

PART C · PROBLEM

Jan/Feb 2017 · Feb 2021

Q. D accepts a bill drawn in London. An endorsee, with the drawer's consent, alters the place of drawing to 'America' ('Toronto'). Is D liable?

Issue Is changing the place of drawing a material alteration that discharges the acceptor?

Law **S.87** — material alteration without consent avoids the instrument against non-consenting parties; **Koch v Dicks** (1933) — place of drawing is **material** (changes inland / foreign character, governing law, protest rules).

Apply D did not consent; the drawer's consent binds only the drawer.

Decision **D is not liable — the bill is void as against him (S.87).**

PART C · PROBLEM *June 2014*

Q. A bill drawn in Hyderabad on a Hong Kong merchant, payable 60 days after sight, is kept for five months before presentment for acceptance and then dishonoured. Are prior parties discharged?

Issue Does unreasonable delay in presenting an after-sight bill discharge the drawer and endorsers?

Law **S.61** — a bill payable **after sight** must be presented for acceptance (if no time is fixed) within a **reasonable time** after it is drawn; **in default, no party is liable** to the holder who made the default. **S.105** — reasonable time judged by the nature of the instrument and usual course of dealing.

Apply Five months is unreasonable for a 60-days-after-sight bill.

Decision **Yes — the drawer and endorsers are discharged as against the holder; he can't recover from them.**

PART C · PROBLEM *June 2014*

Q. A draws a bill on B payable three months after sight. After passing through several hands, X becomes holder; B refuses to accept/pay. X's rights?

Issue What can the holder do when the drawee dishonours?

Law Drawee is **not liable** until he **accepts** (no privity). **S.91–93** — dishonour; **notice** to drawer and endorsers; **S.30, 35** — their liability; **S.100, 104** — protest (compulsory if foreign).

Apply X must give notice of dishonour to A and all endorsers (and protest if foreign), then sue them.

Decision **X can sue A (drawer) and all endorsers after due notice of dishonour; he has no claim against B, who never accepted.**

PART C · PROBLEM *Aug/Sept 2021*

Q. A pays B by cheque; B presents it in time, but payment is refused because the bank has failed. B's rights?

Issue Is the drawer discharged when his bank fails?

Law **S.84** — the drawer is discharged (to the extent of his loss) only if the holder **did not present within a reasonable time** and the drawer suffered loss by the bank's failure. Here B **presented in time**.

Apply B is not at fault; A's debt is not discharged.

Decision **B can sue A on the cheque and on the original debt; A must claim from the failed bank (and DICGC insurance).**

PART C · PROBLEM *Aug/Sept 2021*

Q. A signs a cheque as 'A, Agent'. Is he personally liable on dishonour?

Issue When is an agent personally liable on an instrument he signs?

Law **S.28 NI Act** — an agent who signs without indicating that he signs **as agent** (for a disclosed principal), or that he does **not intend personal liability**, is **personally liable**, except to those who induced him to sign on the belief that only the principal would be liable.

Apply 'A, Agent' merely **describes** A; it doesn't name a principal or exclude liability. 'For and on behalf of P, A (Agent)' would.

Decision **Yes, A is personally liable — the word 'Agent' alone is only descriptive.**

PART C · PROBLEM *Apr/May 2022 (2-hr)*

Q. The maker of a promissory note dies. Can the holder claim from his legal heirs?

Issue Does liability on a note survive the maker's death?

Law Liability on a note is a **debt** that survives the maker; under the general law (**S.52 CPC**) his **legal representatives** are liable only to the extent of the **estate received** (they become personally liable on the note only if they **sign** it themselves — **S.29 NI Act**). **Limitation** — 3 years (Arts. 35–36 Limitation Act).

Apply The heirs aren't personally liable beyond the assets inherited.

Decision **Yes — the holder can sue the legal heirs, but recover only from the estate they inherited, within limitation.**

PART C · PROBLEM *May/June 2019*

Q. A cheque is presented late because the last day fell on a public holiday. Effect?

Issue	How do holidays affect due dates and presentment?
Law	**S.25** — when the due date is a **public holiday**, the instrument is payable on the **next preceding business day**. Cheque validity (3 months) and S.138 limits are computed with **S.10 General Clauses Act** / Limitation Act S.4 — if the last day for an act in court falls on a holiday, it may be done on the **next working day**.
Apply	Presenting on the next working day after a holiday that closed the bank is still in time.
Decision	**The presentment is valid if made on the first working day after the holiday.**

🧠 *Memory trick*

S.138 timeline = **3 m – 30 – 15 – 1 m**: present within **3 months** · notice within **30 days** · wait **15 days** · complain within **1 month**.

Cluster 7

Crossing of cheques — account payee, not negotiable

TIER 2 · important | Unit III · NI Act S.123–131A | asked 14× in 12 of 20 papers

Every past question from this cluster
Short notes: A Crossed cheque *(Jan 2012, June 2014, Dec 2015, 2019, Nov 2022)* · A Account payee cheque *(Aug 2012)* · A Account payee *(May/June 2016, Feb 2021, Nov 2022)* · A Purpose of Crossing of Cheque *(2020)* · A Objects of crossing of cheques *(Aug/Sept 2021)* · A Crossing of cheques *(Apr/May 2022 (3-hr))* · A Crossed cheques *(Apr/May 2023)*
Problems: C *Aug 2012* — A pays into his bank a cheque drawn on another banker payable to B and crossed it "Not Negotiable". Should A's bank...

Core idea

Crossing = two parallel transverse lines on a cheque. It is an **instruction to the paying banker** to pay **only through a bank**, not over the counter — so a thief can't cash it easily and the money can be **traced**.

Kind	How	Effect
General — S.123	two parallel lines, with or without '& Co.'	pay **only to a banker**
Special — S.124	name of a **banker** written across	pay **only to that banker** (or its agent for collection)
Not negotiable — S.130	words '**not negotiable**' with a crossing	still **transferable**, but the transferee gets **no better title** than the transferor
Account payee — banking practice (RBI)	'A/c payee'	collecting bank must credit **only the payee's account**; effectively **non-transferable**
Double crossing — S.127	specially crossed to two bankers	refuse, unless second is agent for collection

- **Who may cross** (S.125): the **drawer**, any **holder**, and a **banker** (to itself for collection).
- **Protection** — paying banker paying **in due course according to the crossing** (**S.128**); collecting banker (**S.131**). **Liability** — a banker who pays **otherwise** than per the crossing is liable to the **true owner** for loss (**S.129**).
- **Objects / purpose of crossing**: safety against theft and loss, **traceability**, prevents encashment at the counter, protects the true owner, and with '**not negotiable**' / '**a/c payee**' further limits transfer.

PART A · SHORT NOTE

Crossed cheque · Account payee · Purpose of crossing

A **crossed cheque** bears two parallel lines (general) or a banker's name (special) and is payable **only through a banker** (**S.123–126**). **Account payee** crossing directs the collecting banker to credit the amount **only to the payee's account**; a collecting banker who credits another account is **negligent** and loses **S.131** protection (**Indian Overseas Bank v Industrial Chain Concern**, 1990). The **purpose** of crossing is **security and traceability** — the paying banker pays only to a bank, so the money can be followed.

PART C · PROBLEM

Aug 2012

Q. A pays into his bank a cheque drawn on another bank, payable to B and crossed 'Not Negotiable'. Should A's bank take it? Legal position?

Issue	Can a 'not negotiable' crossed cheque be transferred and collected?
Law	**S.130** — a person taking a cheque crossed '**not negotiable**' gets **no better title** than his transferor; it is still **transferable**. **S.131** — collecting banker protected if it acts **in good faith, without negligence**, for a **customer**. Not an 'a/c payee' cheque.
Apply	A's bank may collect it, but must inquire how A (not the payee) got it — B's endorsement, the relationship; if B's title was defective, A gets none.
Decision	**A's bank can collect it with due care (checking B's endorsement and A's title); if the cheque was obtained wrongfully, A has no title and the bank, if negligent, is liable to the true owner.**

Memory trick

Crossings = **G-S-N-A**: **G**eneral (to a bank) · **S**pecial (to that bank) · **N**ot negotiable (no better title) · **A**/c payee (only payee's account).

Cluster 8

The paying banker — duties, countermand, forgery & statutory protection

TIER 1 · must prepare | Unit IV · NI Act S.10, 31, 85, 85A, 89, 128 | asked 25× in 15 of 20 papers

Every past question from this cluster

Short notes: A Forgery *(Jan 2012, 2014, Dec 2015, Feb 2021)* · A Forgeries *(2013)* · A Payment in due course *(Jan/Feb 2018)* · A Paying Banker *(May/June 2018, Apr/May 2022 (3-hr))* · A Liability of the drawee of a cheque *(2020)*

Essays: B *Jan 2012* — Statutory protection given to bankers under the NI Act · B *Aug 2012* — Examine the Statutory Protection provided to the paying banker under the Negotiable Instruments Act. · B *2014* — Examine the statutory protection provided to paying banker under the Negotiable Instruments Act. · B *Dec 2015* — Examine the stationery protection provided to the paying banker under the Negotiable Instruments Act. · B *Feb 2021* — Statutory protection to paying bankers under the NI Act · B *Apr/May 2023* — Statutory protection to a banker paying a cheque

Problems: C *Feb/Mar 2013* — A breaks open B's safe, takes the cheque book, forges B's signature and draws money — who bears the loss? · C *2013* — Ramu issued a cheque to Pratap and 'B' the banker pays to the customer before the order of counter demanding on a... · C *2013* — A cheque is payable to 'X' or order. It is stolen and 'X' endorsement is forged. The banker pays the cheque in due... · C *2014* — An open bearer cheque for Rs.5,000/- favouring X company is presented for cash payment at the counter by an unknown... · C *2014* — A cheque is drawn payable to 'B or order'. It is stolen and B's endorsement is forged. The banker pays the cheque in... · C *May/June 2016* — A customer of the Royal Bank drew an open cheque for Rs. 1000 payable to 'P', the cheque was stolen. The thief... · C *Apr/May 2022 (2-hr)* — Bank pays a cheque bearing a forged signature — can the true owner recover? · C *Apr/May 2022 (3-hr)* — Cheque payable to 'M or order' stolen, M's signature forged, banker pays — can M recover from the banker? · C *Nov 2022* — Banker pays a cheque before the countermand reaches him — is he liable? · C *Apr/May 2023* — Banker pays a cheque before receiving the countermand — liable?

Core idea

The **paying banker** is the **drawee bank** that pays the cheque from the drawer's account. It must pay when it should (or face **wrongful dishonour**) and must **not** pay when it shouldn't (or it can't debit the customer). Because it handles thousands of cheques it can't check every **endorsement**, so the Act gives it **statutory protection — but never for a forged drawer's signature**.

PART A · SHORT NOTE

Precautions before paying / Payment in due course

Precautions: proper **form** (S.6); **date** (not stale / post-dated); **amount** words = figures; **drawer's signature** matches; **no material alteration**; **crossing** obeyed; order cheque — **regular endorsement**; **sufficient funds**; **no countermand**, death, insolvency, garnishee notice; presented at the **right branch**, in **business hours**.

📖 *Bare Act — NI Act S.10 — payment in due course*

Payment ① in accordance with the **apparent tenor** of the instrument ② in **good faith** and **without negligence** ③ to any person **in possession** of it ④ under circumstances which do **not afford a reasonable ground** for believing he is **not entitled** to receive payment.

PART B · ESSAY

Statutory protection to the paying banker

Q. Examine the statutory protection provided to the paying banker under the NI Act. (Jan 2012, Aug 2012, 2014, Dec 2015, Feb 2021, Apr/May 2023)

1. Need

A paying banker must honour cheques **quickly** and can't know the signature of every **payee or endorsee**. If it were liable whenever an endorsement turned out forged, banking would stop. So the law protects it when it pays **in due course**.

2. The protections

Section	Protection
S.85(1) — order cheque	drawee is **discharged** by payment in due course though the **endorsement** of the payee / endorsee is **forged** — it need only **purport** to be the payee's
S.85(2) — bearer cheque	payment to the **bearer** discharges the banker **despite any endorsement** (once a bearer, always a bearer)
S.85A — drafts	a **draft** drawn by one office of a bank on another, payable to order — same protection for forged endorsements
S.128 — crossed cheque	banker paying **in due course according to the crossing** is protected; the **drawer** too, if the cheque reached the payee
S.89 — altered cheque	payment of an instrument whose **alteration is not apparent** discharges the banker (it may debit the customer)
S.10 — the common condition	**payment in due course** — good faith, no negligence, apparent tenor

3. No protection for forged signature of the drawer

⚖️ **Canara Bank v Canara Sales Corporation** (1987)

Story	The company's **accountant forged the managing director's signature** on cheques for years and the bank paid them. The company discovered it late and sued the bank for the money; the bank pleaded the company's **negligence** in not checking its passbooks.
Held	A forged cheque is **no mandate**; the bank **can't debit** the customer. The customer's negligence in not detecting it is **no defence** unless it creates an **estoppel**. Bank **liable**.
Why it matters	The rule: **forged drawer's signature = bank's loss**; S.85 protects only against forged **endorsements**.
Trick	Signature forged → bank pays.

✅ *Conclusion (write this)*

The paying banker is protected for **forged endorsements (S.85, 85A)**, **crossed cheques (S.128)** and **invisible alterations (S.89)** — always on condition of **payment in due course**. It is **never** protected for a **forged drawer's signature**.

PART A · SHORT NOTE *Countermand of payment*

The drawer may **stop payment** of his cheque before it is paid. The countermand must be **clear, by the drawer**, and **actually received** by the branch — **Curtice v London City & Midland Bank** (1908): a telegram that was not brought to the bank's notice was **not** effective. Payment **before** the countermand reaches the bank is good; payment **after** is at the bank's own risk (it can't debit). A countermanded cheque is still a dishonour for **S.138** (**Modi Cements**).

PART A · SHORT NOTE *Forgery · Liability of the drawee*

Forgery — making a false document with intent to defraud (**S.335–336 BNS**). In banking: forged **drawer's signature** (no mandate — bank liable, **Canara Bank**), forged **endorsement** (protected under **S.85** if in due course), **material alteration** (S.87, 89). **Liability of the drawee of a cheque** (S.31): pay if funds are sufficient; else compensate the **drawer** for wrongful dishonour.

PART C · PROBLEM *2013 · 2014*

Q. A cheque payable to 'X or order' is stolen and X's endorsement is forged; the bank pays it in due course. Is the banker discharged? Would it differ if the drawer's signature were forged?

Issue	Is the paying banker protected against a forged endorsement / forged drawer's signature?
Law	**S.85(1)** — order cheque, payment in due course, endorsement **purports** to be X's → banker **discharged**, can debit the drawer. Forged **drawer's** signature — no mandate, no protection (**Canara Bank**).
Apply	First case: protected. Second: the bank paid without authority.
Decision	**Yes, discharged for the forged endorsement (S.85(1)); No — if the drawer's signature were forged the bank bears the loss (unless the customer is estopped).**

PART C · PROBLEM *Feb/Mar 2013 · Apr/May 2022 (2-hr)*

Q. A thief breaks open B's safe, takes his cheque book, forges B's signature and draws money. Who bears the loss? Can the account holder recover?

Issue	Can the bank debit an account for cheques bearing the customer's forged signature?
Law	**Canara Bank v Canara Sales Corp** (1987); S.85 doesn't cover forged **drawer's** signatures. Estoppel only if the customer's conduct **directly** misled the bank (e.g. knew and kept silent).
Apply	Keeping a cheque book in a locked safe isn't negligence that misled the bank.
Decision	**The bank bears the loss; B can recover the amount debited.**

PART C · PROBLEM *2013 · Nov 2022 · Apr/May 2023*

Q. A bank pays a cheque before the drawer's countermand reaches it (2013: paid earlier than usual on the payee's special request). Is the banker liable?

Issue	Is payment before receipt of a stop-payment order valid?
Law	Countermand is effective only when **actually received** (**Curtice**). **S.10** — payment in due course (good faith, apparent tenor, within business hours, not a post-dated cheque before its date).
Apply	Paying a cheque that is already due, before notice, is in due course even if done quickly on request; paying a **post-dated** cheque early would not be.
Decision	**Not liable — the bank may debit the drawer, provided the payment was in due course.**

PART C · PROBLEM *2014*

Q. An open bearer cheque for ₹5,000 favouring X Company is presented at the counter by an unknown person. Can it be honoured?

Issue Must a bank identify the bearer of a bearer cheque?

Law **S.85(2)** — payment to the **bearer** in due course discharges the banker; **S.10** — no circumstances raising suspicion. A cheque drawn **in favour of a company** but payable to bearer is unusual — a company normally deposits through its account.

Apply The bank may pay, but prudence suggests verifying identity / authority given the company payee; if circumstances are suspicious, paying without inquiry may be **negligent**.

Decision **Yes, it can be paid to the bearer under S.85(2), but the bank should verify the presenter (and may ask for identification) to stay within payment in due course.**

PART C · PROBLEM *May/June 2016 · Apr/May 2022 (3-hr)*

Q. An open order cheque payable to P is stolen; the thief forges P's endorsement and the cashier pays him at the counter without checking identity. To whom is the bank liable? (2022: can M, the payee, recover from the banker?)

Issue Is the paying banker protected when it pays a forged endorsement at the counter without inquiry?

Law **S.85(1)** — protection for forged endorsements on **order cheques**, but only if payment is **in due course** (**S.10** — without negligence). The paying banker is not expected to verify endorsements, but paying a **large order cheque across the counter to a stranger** without any identification can be negligence.

Apply If the bank followed ordinary practice it is discharged and can debit the drawer; the true owner (P / M) must then pursue the **thief**. If the cashier was negligent, the bank **cannot debit** the drawer and is answerable for the loss.

Decision **Normally the bank is protected (S.85(1)) and P/M must sue the thief / receiver; but if the cashier was negligent, the bank can't debit the customer and bears the loss.**

🧠 *Memory trick*

Paying-banker shields = **85 – 85A – 128 – 89** (endorsement, draft, crossing, alteration) — all need **S.10 due course**; **no shield for a forged drawer's signature.**

Cluster 9

The collecting banker — duties & statutory protection

TIER 3 · short-note level | Unit IV · NI Act S.131, 131A | asked 8× in 8 of 20 papers

Every past question from this cluster
Short notes: A Collecting banker *(Feb/Mar 2013, 2013, 2019, Nov 2022, Apr/May 2023)* · A Collecting Bunker *(Jan/Feb 2017)*
Essays: B *Apr/May 2022 (3-hr)* — Protection available to a collecting banker under the NI Act
Problems: C *Aug 2012* — A professor deposits into his account an outstation cheque for Rs. 8,000/- issued by the State Education...

Core idea

The **collecting banker** is the customer's bank that **collects** a cheque drawn on another bank and credits his account. If the customer had **no title** (stolen / forged cheque), the **true owner** can sue the collecting bank for **conversion**. **S.131** protects the bank — but only if it acted **in good faith and without negligence**, for a **customer**, on a **crossed** cheque.

PART B · ESSAY

Protection available to a collecting banker

Q. Protection to a collecting banker under the NI Act (Apr/May 2022; short notes Feb/Mar 2013, 2013, 2017, 2019, Nov 2022, Apr/May 2023)

Bare Act — NI Act S.131

A banker who has **in good faith and without negligence** received payment **for a customer** of a cheque **crossed generally or specially to himself** shall not, in case the title to the cheque proves **defective**, incur any liability to the **true owner** by reason only of having received such payment. **Explanation I**: a banker receives payment for a customer even if he **credits the account before** receiving payment. **Explanation II**: includes **electronic / truncated** cheques. **S.131A**: applies to **drafts**.

Conditions

1. **Good faith** — honestly (S.3 General Clauses Act).
2. **Without negligence** — the test is the **ordinary practice of careful bankers** (**Marfani & Co v Midland Bank**, 1968); the **burden** is on the banker.
3. **For a customer** — not for a stranger.
4. **Crossed** cheque (or draft).
5. As an **agent for collection** — if the bank buys / discounts the cheque it is a **holder for value** and stands on its own title, not S.131.

Negligence — classic examples

- Opening an account **without proper introduction / KYC** — **Ladbroke v Todd** (1914); **Indian Overseas Bank v Industrial Chain Concern** (1990): account opened by a fraudster without inquiry; the bank collected cheques meant for the firm — **liable**.
- Collecting cheques payable to an **employer / company** into an **employee's personal account** — **Lloyds Bank v Savory** (1933); **Underwood v Bank of Liverpool** (1924).
- Crediting an **account payee** cheque to someone other than the payee; ignoring **irregular endorsements**; **unusually large** amounts out of line with the account; agent's or partner's personal account for principal's cheques.

Duties

- **Collect promptly** through clearing; present in time; **notice of dishonour** to the customer; credit realised amounts; follow the **RBI cheque collection policy**; compensation for delayed collection.

Paying banker	v/s	Collecting banker
drawee bank · pays from drawer's account · protected for **forged endorsements** if in due course · **S.85, 85A, 128, 89** · liable to **drawer** for wrongful dishonour		payee's bank · collects as **agent** · protected against the **true owner** if in good faith, without negligence, for a customer, crossed cheque · **S.131, 131A**

Conclusion (write this)

S.131 lets banks collect thousands of cheques without fear — but the shield works only for a bank that has done its **homework**: proper KYC, attention to payees and endorsements, and acting **in good faith** for a **real customer**.

PART C · PROBLEM

Aug 2012

Q. A professor deposits an outstation cheque for ₹8,000 issued by the State education authorities and demands immediate credit. Legal position of the bank?

Issue	Is a collecting bank bound to give credit before the cheque is realised?
Law	The collecting banker is an **agent** — bound to credit **after realisation**. It **may** give immediate credit as per its **cheque collection policy** (RBI asks banks to give immediate credit for outstation cheques of individuals up to a limit, for satisfactorily run accounts). **S.131 Expl. I** — crediting before payment does not take it outside S.131; if it lets him **draw** against it, the bank becomes a **holder for value**.
Apply	A Government cheque from a known customer is low-risk; the bank can extend immediate credit at its discretion, but the professor has **no legal right** to it.
Decision	**The bank is not bound to give immediate credit; it may do so under its collection policy, and if it does, it becomes a holder for value of the cheque.**

Cluster 10

Banker's lien, set-off, safe custody & lockers

TIER 1 · must prepare | Unit V · Contract Act S.171 · BR Act S.45ZC–45ZE | asked 23× in 13 of 20 papers

Every past question from this cluster
Short notes: A Banker's rights *(Aug 2012)* · A Set-off *(Aug 2012)* · A Banker's Lien *(2013)* · A Setoff *(Dec 2015)* · A Bankers lien *(May/June 2016)* · A Bankers set off *(Jan/Feb 2017)* · A Lien *(Jan/Feb 2018)* · A Banker's Setoff *(May/June 2018, 2019)* · A Banker's right of set-off *(Apr/May 2022 (3-hr))* · A Banker's lien *(Nov 2022)*
Essays: B *Jan/Feb 2017* — What is Banker's Lien? State the general precautions which a banker should take while granting loans and advances. · B *2019* — Explain the meaning of the term 'Banker's lien' State the general precautions which a banker should take while...
Problems: C *2014* — 'A' a customer has deposited jewels of Rs.50,000/- for safe custody. Later he becomes a debtor to the bank. Examine... · C *Dec 2015* — 'X' a customer has deposited jewels worth of Rs.50,000 for safe custody. Later he becomes a debtor to the bank.... · C *Jan/Feb 2018* — Set-off of an overdraft against a credit balance in a joint account · C *2019* — A customer of a bank deposited security with the banker. Decide what kind of right the banker has against the... · C *Apr/May 2022 (2-hr)* — Bank claims a lien on a safe-deposit locker for an unpaid loan · C *Apr/May 2022 (2-hr)* — Valuables stolen from a locker — is the banker liable? · C *Apr/May 2022 (3-hr)* — Dividend warrants given for collection; customer then owes the bank — can the bank exercise lien? · C *Nov 2022* — Joint locker of X and Y with nominees S and W; X dies — advise the bank · C *Apr/May 2023* — Customer's jewels in safe custody; he later owes the bank — banker's rights · C *Apr/May 2023* — Joint locker with nominees; one holder dies — advise the bank

Core idea

To protect its loans, the banker has two **self-help** rights: **lien** — to **retain** the customer's **securities** that come into its hands **as banker** until the debt is paid; and **set-off** — to **combine** the customer's **credit and debit balances**. Neither applies to things given for a **specific purpose** — like **safe custody** or a **locker**.

PART B · ESSAY — Banker's lien — meaning and features

Q. What is banker's lien? (2017, 2019; short notes 2013, 2016, Jan/Feb 2018, Nov 2022)

Bare Act — Indian Contract Act S.171

"**Bankers**, factors, wharfingers, attorneys of a High Court and policy brokers may, **in the absence of a contract to the contrary**, retain as a security for a **general balance of account**, any goods **bailed** to them; but no other persons have a right to retain, as a security for such balance, goods bailed to them, unless there is an express contract to that effect."

- **General lien** — for **any** amount due on the general balance, not only for the debt connected with that security (**Brandao v Barnett**, 1846: a banker's lien is part of the **law merchant**).
- **Implied pledge** — the banker may **sell** the securities after **reasonable notice** (a mere lien does not allow sale; a banker's does).
- **Covers**: cheques, bills, **dividend warrants**, coupons, securities and documents that come into the bank's possession **in its capacity as banker** (e.g. for collection) — not under a special arrangement.
- **Does not cover**: articles in **safe custody** (specific purpose), **locker** contents (no possession), securities given for a **specific purpose** or left **by mistake**, **trust property** known to be so, documents deposited for a loan **not yet granted**, money / deposits (that is **set-off**, as the money is the bank's own).
- **Syndicate Bank v Vijay Kumar** (1992): banks have a **general lien** over securities such as **FDRs** placed with them in the ordinary course, and can adjust them against the customer's dues.

PART A · SHORT NOTE — Banker's right of set-off

Set-off = the banker's right to **combine accounts** of the **same customer** — adjust a **credit balance** in one against a **debit balance** in another. **Conditions**: ① debts **mutual** and in the **same right / capacity** ② amounts **certain** ③ **due** (not contingent — e.g. a guarantee not yet invoked, a bill not yet due) ④ **no agreement** to the contrary (e.g. a fixed deposit kept as separate security) ⑤ no notice of a **trust**. **Not allowed**: **joint account** v one holder's personal debt (unless they are jointly and severally liable); **trust / executor** account v personal debt; account of a **partner** v the firm's debt (allowed only if the partner is liable). **Garnett v McKewan** (1872): a bank may combine accounts **without notice**, though notice is good practice. Before a **garnishee order** attaches, the bank may set off its dues.

Lien
a right to **retain goods / securities** of the customer · as security for a general balance · implied pledge (sale after notice)

v/s

Set-off
a right to **adjust money** (balances) · applies to **debts**, not goods · same right, certain, due

PART A · SHORT NOTE

Safe custody · Lockers · Nomination

Safe custody — the bank is a **bailee** (S.148 Contract Act): **care of a prudent man** (S.151), returns the article on demand to the depositor / nominee; **no lien**. **Lockers** — **lessor–lessee**: the customer hires the locker; the bank doesn't know the contents but must keep the premises **secure**. **Amitabha Dasgupta v United Bank of India** (2021): banks **cannot wash their hands** of locker losses; RBI to frame rules → **RBI locker norms (2021–22)**: liability up to **100 times the annual rent** for loss due to **fire, theft, burglary, building collapse or fraud by staff**; not for acts of God; locker may be broken open after notice for **unpaid rent**.

Nomination (BR Act): deposits — **S.45ZA**; safe-custody articles — **S.45ZC**; lockers — **S.45ZE**. On the death of a **sole** hirer, the bank gives access to the **nominee**. On the death of one **joint** hirer, the bank gives access to the **survivor(s) jointly with the nominee(s)** of the deceased. Without nomination — legal heirs (succession certificate / indemnity).

✅ **Conclusion (write this)**

Lien and set-off are the banker's **quiet security**: lien over securities that reach it **as banker**, set-off over **balances in the same right**. Things given for a **specific purpose** — **safe custody, lockers, trust money** — are outside both.

🧠 **Memory trick**

No lien on **S-L-T-M**: **S**afe custody · **L**ocker · **T**rust property · **M**istake / specific purpose.

PART C · PROBLEM

2014 · Dec 2015 · Apr/May 2023

Q. A customer deposits jewels worth ₹50,000 for safe custody; later he becomes a debtor to the bank. Legal rights of the banker?

Issue	Does a banker have a lien on articles kept in safe custody?
Law	**S.171 Contract Act** — general lien over goods bailed **as banker**. But **safe custody** is a **bailment for a specific purpose** — no lien (**Brandao v Barnett**). The bank is a **bailee** (S.151) and must **return** them on demand.
Apply	The jewels were not given as security; the later debt doesn't change their purpose — unless the customer **agrees** to pledge them.
Decision	**The bank has no lien on the jewels; it must return them and recover its debt by other means (suit / DRT), unless the customer pledges them.**

PART C · PROBLEM

2019

Q. A customer deposits a security with the banker. What right does the banker have against it?

Issue	What right arises depends on why the security was deposited.
Law	Deposited **as security for an advance** → **pledge** (S.172) — retain and **sell after notice** (S.176); deposited in the **ordinary course** (for collection, as banker) → **general lien** (S.171, implied pledge); deposited for **safe custody** → **bailment**, **no lien**.
Apply	The answer depends on the purpose of deposit.
Decision	**Pledge or general lien if deposited as security / in the course of banking; no right (only a bailee's duty) if for safe custody.**

PART C · PROBLEM

Apr/May 2022 (3-hr)

Q. Mr. James gives dividend warrants to his banker for collection and then becomes indebted to the bank. Can the bank exercise lien?

Issue	Does a banker have lien over instruments received for collection?
Law	**S.171** — general lien over goods / securities received **in the capacity of a banker** in the ordinary course; instruments given **for collection** are such (**Brandao v Barnett**); not a specific-purpose bailment.
Apply	Collection is ordinary banking business; the proceeds also become the customer's credit, subject to set-off.
Decision	**Yes — the bank may exercise its general lien over the dividend warrants (and set off the proceeds).**

PART C · PROBLEM

Jan/Feb 2018

Q. Can a bank set off a customer's overdraft against a credit balance in a joint account?

Issue	Is set-off allowed between a personal debt and a joint account?
Law	Set-off needs debts in the **same right**. A **joint account** belongs to the holders **jointly**; a personal overdraft is the debt of **one**. Exception: if the joint holders are **jointly and severally** liable for the overdraft, or the joint account agreement allows it.
Apply	Unless the joint holders are both liable for the overdraft, the capacities differ.
Decision	**No set-off, unless the joint holders are jointly and severally liable for the overdraft or have agreed to it.**

PART C · PROBLEM **Apr/May 2022 (2-hr)**

Q. A bank claims a lien on a customer's safe-deposit locker for an unpaid loan. Can it?

Issue — Can a bank exercise lien over a locker for a loan?

Law — Locker hire is **lessor–lessee**; the bank has **no possession** of the contents → no lien (S.171 needs goods **bailed**). The locker **agreement** may allow action only for **unpaid rent** (after notice, break open in the presence of witnesses — RBI norms).

Apply — The loan is a separate transaction.

Decision — **No lien for the loan; the bank may freeze / break open the locker only for unpaid locker rent as per the agreement and RBI rules; for the loan it must use legal recovery.**

PART C · PROBLEM **Apr/May 2022 (2-hr)**

Q. Valuables are stolen from a customer's locker. Is the banker liable?

Issue — Is a bank liable for theft from a locker?

Law — **Amitabha Dasgupta v United Bank of India** (2021) — banks owe a **duty of care** for locker security; **RBI locker norms** — liability up to **100× annual rent** for loss due to **theft / burglary**, fire, collapse, staff fraud; not for natural calamities / customer's negligence.

Apply — Theft from the bank's vault shows a failure of security.

Decision — **Yes — the bank is liable, up to 100 times the annual locker rent (or more if negligence is proved in a civil suit).**

PART C · PROBLEM **Nov 2022 · Apr/May 2023**

Q. X and Y jointly hire a locker, to be operated jointly; each nominates a person (S and W). X dies. Advise the bank.

Issue — Who gets access to a joint locker on the death of one hirer?

Law — **S.45ZE BR Act** + Banking Companies (Nomination) Rules — where a locker is hired **jointly** and one hirer dies, the bank allows access to the **survivor(s) jointly with the nominee(s)** of the deceased, after verifying identity and death; an **inventory** is prepared.

Apply — Y (survivor) and S (X's nominee) together get access; the bank isn't concerned with the heirs' disputes.

Decision — **Give access jointly to Y and S, after verifying the death certificate and identities and making an inventory; the bank is then discharged.**

Cluster 11

Loans & advances — principles, overdraft, pledge, land, stocks, shares, life policies, documents of title, guarantor

TIER 2 · important | Unit V · Contract Act S.126–147, 172–176 · TPA S.58 | asked 12× in 8 of 20 papers

Every past question from this cluster
Short notes: A Pledge *(Jan 2012, Nov 2022, Apr/May 2023)* · A Guarantor *(Aug 2012, Apr/May 2023)* · A Overdraft *(Feb/Mar 2013, May/June 2019)* · A Secured advances *(Feb 2021)* · A Shares *(Apr/May 2023)*
Essays: B *Apr/May 2022 (2-hr)* — Principles of good lending
Problems: C *Feb/Mar 2013* — House mortgaged to the bank by the husband without the wife's knowledge; she sells it — advise the bank on recovery · C *Apr/May 2023* — Husband mortgages the house without the wife's knowledge — bank's recovery

Core idea

Lending is the bank's main income — and its main risk. A good banker lends on **sound principles** (safety first) and takes **security** in the right legal form: **pledge** (goods delivered), **hypothecation** (goods stay with the borrower), **mortgage** (land), **assignment** (life policies, book debts), **lien**, and a **guarantee** from a third person.

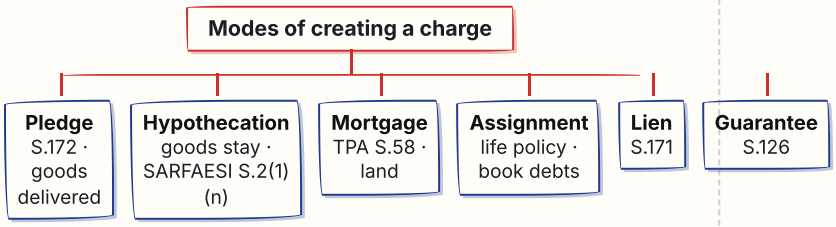
PART B · ESSAY

Principles of good lending; precautions in granting loans and advances

Q. Principles of good lending / general precautions in granting loans (Apr/May 2022; with lien in 2017, 2019)

Principle	Meaning
Safety	the money must come back — borrower's **character, capacity, capital** (3 Cs)
Liquidity	short-term, self-liquidating loans; quick repayment
Profitability	reasonable interest within RBI norms
Purpose	productive, lawful purpose; end-use monitoring
Security & margin	adequate, marketable security with a **margin**; proper documentation and charge creation; **CERSAI** registration
Diversification	spread risk across sectors / borrowers
National / social interest	**priority sector** targets (agriculture, MSME, weaker sections)

Precautions: KYC and credit report (**CIBIL**); appraisal of the project; verify **title** (encumbrance certificate, legal opinion); valuation; insurance with **bank clause**; documents (loan agreement, DP note, hypothecation / mortgage deed); periodic **inspection**; follow **RBI prudential norms** (exposure limits, **NPA** classification at **90 days**).



PART A · SHORT NOTE

Pledge

Pledge = **bailment of goods as security** for payment of a debt (**S.172 Contract Act**); the bailor is the **pawnor**, the bank the **pawnee**. **Delivery** (actual or constructive — e.g. key of godown, **document of title**) is essential. Pawnee's rights: **retain** for the debt, interest and expenses (S.173–174); **sue** and/or **sell** after **reasonable notice** on default (**S.176**); surplus goes to the pawnor. Duties: care (S.151), return on repayment. Used for **gold loans**, goods, shares (demat pledge through the depository).

PART A · SHORT NOTE

Overdraft · Secured advances

Overdraft — permission to **draw beyond the credit balance** in a **current account** up to a limit; interest only on the **daily debit balance**; repayable **on demand**; may be **temporary** or **regular**, **secured** (against FD, shares, property) or **clean**. **Secured advance** — backed by a **tangible security** with a margin, as opposed to a **clean / unsecured** loan backed only by personal credit (and guarantees).

PART A · SHORT NOTE

Advances against land, stocks, shares, life policies, documents of title

Security	How charged · merits · risks
Land & buildings	**mortgage** (TPA S.58) — registered, or **equitable** by deposit of title deeds (S.58(f)) in notified towns; verify title, encumbrances, **wife / co-owner's** rights; **agricultural land** is outside **SARFAESI** (S.31(i)) · safe, appreciating · illiquid, slow to realise
Stocks / goods	**pledge** or **hypothecation**; margin, insurance, stock statements, inspection · self-liquidating · deterioration, price fall, **double financing**
Shares	**pledge** (demat — Depositories Act); margin 50%+ · liquid, easy to value · **price volatility**, partly-paid shares, **no loans on the bank's own shares** (BR Act S.20), RBI caps
Life policies	**assignment** (S.38 Insurance Act) with notice to the insurer · loan up to **surrender value** · safe, easy to realise · lapse if premiums unpaid
Documents of title to goods	bill of lading, dock warrant, warehouse receipt, **railway receipt**, delivery order (**S.2(4) Sale of Goods Act**) — **pledge by delivery / endorsement** · convenient for traders · forged / fake documents, goods may not exist

Advances against stocks and shares — merits & demerits (2016 essay part): merits — **liquidity, easy valuation, simple documentation** (demat pledge), steady income; demerits — **market fluctuation**, speculation risk, **partly-paid** shares create liability, **unlisted / inactive** shares hard to sell, regulatory caps.

PART A · SHORT NOTE

Guarantor

Contract of guarantee (**S.126**) — to **perform the promise / discharge the liability of a third person** on his default; parties: **surety (guarantor), principal debtor, creditor (bank)**. Surety's liability is **co-extensive** with the debtor's (**S.128**) and **immediate** — the bank need not first sue the borrower (**Bank of Bihar v Damodar Prasad**, 1969; **State Bank of India v Indexport Registered**, 1992). **Continuing guarantee** (S.129). **Discharge**: **variance** in terms without consent (S.133), **release** of the principal debtor (S.134), **time / composition** given to the debtor (S.135), creditor's act impairing the surety's remedy (S.139), **loss of security** (S.141). Surety's rights: **subrogation** (S.140), indemnity (S.145). Bank checks the surety's **means and consent**.

PART C · PROBLEM

Feb/Mar 2013 · Apr/May 2023

Q. A husband mortgages the house to the bank without his wife's knowledge; later she sells / registers the house. Advise the bank on recovery.

Issue — Is the mortgage valid, and can the bank follow the property?

Law — **S.58 TPA** — mortgage by the **owner**; **nemo dat** — no one can mortgage what he does not own. If the house is the **husband's** (or joint, to his share), the mortgage is valid and **prior in time** (**S.48 TPA**); a later sale is **subject to the mortgage** — the bank can enforce under **SARFAESI S.13** / DRT against the property in the purchaser's hands. If the house is the **wife's**, the husband had **no title** → mortgage **void** against her.

Apply — The bank must check whose title it is.

Decision — **If the husband owned it — the bank's mortgage prevails; it can enforce it (SARFAESI / DRT) even after the sale. If the wife owned it — the mortgage is void against her; the bank can recover only from the husband (and any guarantor), and should act against him for fraud; its own title verification failed.**

🧠 *Memory trick*

Lending = **S-L-P-P-S-D-N**: **S**afety · **L**iquidity · **P**rofit · **P**urpose · **S**ecurity · **D**iversification · **N**ational interest.

Cluster 12

Bank guarantees & letters of credit

TIER 2 · important | Unit V · Contract Act S.126 · UCP 600 | asked 17× in 13 of 20 papers

Every past question from this cluster
Short notes: A Letters of credit *(Jan 2012, May/June 2018, Feb 2021, Aug/Sept 2021)* · A Bank guarantee *(June 2014, 2014)* · A Letter of credit *(2014, Dec 2015)* · A Bank guarantees *(Jan/Feb 2018, 2019, Feb 2021)* · A Kinds of bank guarantees *(Apr/May 2022 (3-hr))*
Essays: B *Aug 2012* — Write a brief essay on bank guarantees. · B *May/June 2016* — What is a letter of credit? Discuss the merits and demerits of making advances against stocks and shares. · B *Jan/Feb 2018* — Main types of letters of credit in international trade · B *May/June 2018* — What is a bank guarantee? How is it different from a letter of credit? · B *Nov 2022* — Legal incidents of commercial letters of credit

Core idea

Both are a bank's **promise to pay a third person** on behalf of its customer. A **bank guarantee** pays if the customer **fails** to perform (security). A **letter of credit** pays the **seller** when he presents the **right documents** (payment mechanism in trade). Both are **independent** of the underlying contract — courts rarely stop payment.

PART B · ESSAY — Bank guarantees

Q. Write an essay on bank guarantees (Aug 2012; short notes June 2014, 2014, Jan/Feb 2018, 2019, Feb 2021, Apr/May 2022)

A **bank guarantee** is a contract of guarantee (**S.126 Contract Act**) in which the **bank (surety)** undertakes to pay the **beneficiary** a sum if the **applicant (customer)** fails to perform an obligation. The bank takes a **counter-guarantee / margin / security** from its customer.

Kind	Use
Financial guarantee	for payment of money (loans, deferred payment)
Performance guarantee	contractor will **perform** the works
Bid bond / tender guarantee	bidder won't withdraw after winning
Advance payment guarantee	refund of an advance if work isn't done
Conditional v unconditional (on-demand)	pay only on proof of default v pay **on first demand**
Inland / foreign; deferred payment; shipping guarantee	trade uses

⚖️ U.P. State Sugar Corporation v Sumac International (1997)

Story — A sugar corporation had **unconditional bank guarantees** from Sumac, a contractor. Disputes arose; Sumac got an **injunction** to stop the corporation from **invoking** them.

Held — An **unconditional bank guarantee** is an **independent contract**; the bank must pay on demand **regardless of disputes** in the main contract. Courts can restrain encashment only in ① **egregious fraud** of which the bank has notice, or ② **irretrievable injustice / harm**. Injunction set aside.

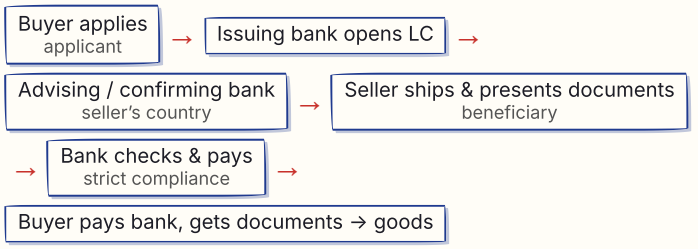
Why it matters — Leading Indian case on the **autonomy** of bank guarantees (also *Svenska Handelsbanken v Indian Charge Chrome*, 1994; *Hindustan Steelworks v Tarapore*, 1996).

Trick — Guarantee is **cash in hand** — fraud is the only key.

PART B · ESSAY — Letters of credit — meaning, kinds and legal incidents; BG v LC

Q. What is a letter of credit? Types of LCs / Legal incidents of commercial LCs / Bank guarantee v letter of credit (2016, Jan/Feb 2018, May/June 2018, Nov 2022; short notes 2012, 2014, 2015, 2018, 2021)

A **letter of credit** is a written undertaking by a bank (**issuing bank**), given at the request of the **buyer (applicant)**, to pay the **seller (beneficiary)** a stated sum within a stated time **against stipulated documents** (invoice, bill of lading, insurance, inspection certificate). Governed by the ICC's **Uniform Customs and Practice for Documentary Credits — UCP 600** (2007).



Kind	Feature
Revocable / irrevocable	UCP 600 — all credits are **irrevocable** unless stated
Confirmed	a second bank (seller's side) adds its own **undertaking**
Sight / usance	pay on presentation / after a period (time draft)
Revolving	renews automatically for repeated shipments
Transferable	beneficiary (middleman) may transfer it to a supplier
Back-to-back	a second LC opened on the security of the first
Red clause / green clause	**advance** to the seller before shipment (green — also storage)
Standby LC	works like a **guarantee** — paid on default
Documentary / clean	with / without documents

Legal incidents

1. **Autonomy / independence** — the credit is **separate from the sale contract**; banks deal in **documents, not goods** (UCP 600 Art. 4, 5).
2. **Doctrine of strict compliance** — documents must match the terms **exactly**: 'there is **no room for documents which are almost the same**' — **Equitable Trust Co of New York v Dawson Partners** (1927).
3. **Bank's duty** — examine documents with **reasonable care** on their face, within **5 banking days** (UCP 600 Art. 14); not liable for genuineness of documents it checked in good faith.
4. **Fraud exception** — payment may be refused / restrained only for **clear fraud** known to the bank — **United City Merchants v Royal Bank of Canada** (1983); **United Commercial Bank v Bank of India** (1981): courts should **not interfere** with LC payments except for fraud.
5. Irrevocable credit can't be cancelled **without the beneficiary's consent**; confirming bank's liability is **direct**.

Point	Bank guarantee	Letter of credit
Purpose	**security** against default	**payment mechanism** in trade
Bank pays when	applicant **fails** to perform (on demand / proof)	seller presents **conforming documents**
Liability	**secondary** in form (on default), though independent	**primary** obligation to pay
Parties	bank, applicant, beneficiary	applicant, issuing / advising / confirming bank, beneficiary
Rules	Contract Act S.126; URDG 758	**UCP 600**
Use	contracts, tenders, loans	import–export, sale of goods

✅ *Conclusion (write this)*

Bank guarantees and LCs **replace trust between strangers with a bank's promise**. Their value lies in **autonomy**: the bank pays on the **terms of its own undertaking**, and courts interfere only for **fraud or irretrievable harm**.

Cluster 13

Recovery of bank loans — Debts Recovery Tribunals & SARFAESI Act

TIER 3 · short-note level | Unit V · RDB Act 1993 · SARFAESI Act 2002 | asked 6× in 4 of 20 papers

Every past question from this cluster
Short notes: A SARFAESI *(Aug/Sept 2021)* · A Debts Recovery Tribunal *(Aug/Sept 2021)* · A Object of the SARFAESI Act *(Apr/May 2022 (3-hr))*
Essays: B *2020* — Explain the jurisdiction and powers of Debt Recovery Tribunal. · B *Apr/May 2022 (3-hr)* — Powers and functions of Debts Recovery Tribunals · B *Apr/May 2023* — Recovery powers under the Debts Recovery Tribunal Act

💡 *Core idea*

Civil suits for bank dues took **years**. Parliament created two fast tracks: the **Debts Recovery Tribunal** (**RDB Act 1993**) — a special tribunal to decide bank claims and issue recovery certificates; and the **SARFAESI Act 2002** — lets a **secured creditor** take **possession and sell** the security **without going to court**.

PART B · ESSAY

Jurisdiction and powers of the Debts Recovery Tribunal

Q. Explain the jurisdiction and powers of the DRT / Recovery powers under the DRT Act (2020, Apr/May 2022, Apr/May 2023; short note Aug/Sept 2021)

1. Background

On the recommendation of the **Tiwari Committee** (1981) and the **Narasimham Committee** (1991), Parliament enacted the **Recovery of Debts Due to Banks and Financial Institutions Act, 1993** (renamed the **Recovery of Debts and Bankruptcy Act** in 2016). Upheld in **Union of India v Delhi High Court Bar Association** (2002).

2. Structure

- **DRT** — a **Presiding Officer** qualified to be a **District Judge** (S.3, 5).
- **DRAT** (Appellate Tribunal) — a **Chairperson** qualified to be a **High Court Judge** (S.8–10).

3. Jurisdiction (S.17–18)

- Applications by **banks and financial institutions** for recovery of **debts** of **₹20 lakh or more** (limit raised from ₹10 lakh in 2018; S.1(4)).
- **Exclusive — civil courts barred** (**S.18**), except the High Court / Supreme Court under Arts. 226, 32.
- Place: where the defendant **resides / works**, where the **cause of action** arises, or where the bank's **branch** maintaining the account is (S.19(1)).
- Also hears **appeals under S.17 SARFAESI** and, for **individuals and partnership firms**, is the adjudicating authority under the **IBC** (S.179).

4. Procedure and powers (S.19–22)

- Summons; **written statement within 30 days**; borrower may claim **set-off / counter-claim** (S.19(8)–(11)).
- **Interim orders**: restrain transfer of assets, **attachment before judgment**, **receiver** (S.19(12)–(18)).
- Aim to decide within **180 days**; issues a **recovery certificate** to the **Recovery Officer** (S.19(22)).
- **Powers of a civil court** (S.22): summon and examine on oath, documents, affidavits, commissions, review its own orders; **not bound by the CPC** but guided by **natural justice**.
- **Recovery Officer** (S.25, 28): **attachment and sale** of movable / immovable property, **arrest and detention** of the debtor, **receiver**; garnishee-type orders against the debtor's debtors.
- **Appeal** to the DRAT within **30 days** (S.20), with a **pre-deposit of 50%** of the amount (reducible to **25%**) (S.21).

✅ *Conclusion (write this)*

The DRT gives banks a **specialised, time-bound forum** with civil-court powers and its own **recovery machinery**, keeping bank recovery out of overloaded civil courts while preserving **natural justice** and an **appeal**.

PART B · ESSAY

SARFAESI Act, 2002 — objects and enforcement of security interest

Q. Object of the SARFAESI Act / SARFAESI (Apr/May 2022, Aug/Sept 2021)

- **Objects**: ① **securitisation** of financial assets ② **asset reconstruction** (ARCs) ③ **enforcement of security interest without court intervention** ④ central registry (**CERSAI**).
- **Conditions (S.13)**: a **secured** debt; the account classified as **NPA** (overdue **90 days**); amount **₹1 lakh+** and not less than **20%** of principal and interest (S.31(j)).
- **Demand notice — S.13(2)**: pay within **60 days**; borrower may object; the bank must **reply within 15 days** with reasons (S.13(3A)).
- **Measures — S.13(4)**: take **possession** of the secured asset (and sell / lease it), **take over management** of the business, appoint a manager, require the borrower's **debtors** to pay the bank.
- **S.14** — the **CMM / DM** helps take **physical possession**. **S.17** — borrower's **appeal to the DRT within 45 days**;

S.18 — appeal to the DRAT (pre-deposit **50%**, reducible to 25%). **S.34** — civil courts barred.

- **Exclusions (S.31)**: **agricultural land**, pledges, liens, debts below ₹1 lakh, etc.

⚖️ **Mardia Chemicals Ltd v Union of India** (2004)

Story — A chemicals company and others challenged SARFAESI: a bank could seize and sell their assets on its own, and to appeal to the DRT they had to deposit **75%** of the claim first.

Held — The Act is **valid** — a reasonable measure to tackle **NPAs** — but the **75% pre-deposit** for an appeal under S.17 was **unreasonable** and **struck down**; the bank must **consider and reply** to the borrower's objections (now **S.13(3A)**).

Why it matters — Balanced **creditor speed** with **borrower fairness**.

Trick — Banks may act fast — but must listen.

United Bank of India v Satyawati Tondon (2010): High Courts should not entertain **writs** that bypass the **SARFAESI remedies** (S.17 DRT).

DRT (RDB Act)	v/s	*SARFAESI*
adjudication of the bank's claim · any debt ₹20 lakh+ (secured or unsecured) · recovery certificate → Recovery Officer		**enforcement without court** · **secured** debts, NPA · bank takes possession / sells · DRT only on the borrower's appeal (S.17)

🧠 *Memory trick*

SARFAESI = **N-60-4-45**: **N**PA (90 days) · **60**-day notice · **4** measures (S.13(4)) · appeal to DRT in **45** days.

NI Act & banking section finder

Topic	Section
Promissory note · bill · cheque · NI	S.4 · 5 · 6 · 13
Holder · HDC · payment in due course	S.8 · 9 · 10
Inland / foreign · ambiguous · words v figures · inchoate	S.11–12 · 17 · 18 · 20
Maturity · days of grace · computation · holiday	S.21–25
Agent · legal representative · drawer · drawee · acceptor · endorser	S.28 · 29 · 30 · 31 · 32 · 35
No consideration / accommodation	S.43 · 59
Negotiation · endorsement (blank / full) · conditional · partial	S.14–16, 46–50 · 52 · 56
Title from HDC · lost / fraud	S.53 · 58
Presentment · after-sight bill · cheque delay	S.61–77 · 61 · 84
Discharge · qualified acceptance · material alteration	S.82–90 · 86 · 87, 89
Dishonour · notice · noting · protest	S.91–104A
Paying banker · drafts	S.85 · 85A
Presumptions	S.118–122, 139
Crossing · not negotiable · collecting banker	S.123–129 · 130 · 131, 131A
Bills in sets	S.132–133
Dishonour of cheque · interim compensation · appeal deposit	S.138–142 · 143A · 148
Lien · pledge · guarantee	Contract Act S.171 · 172–176 · 126–147
BR Act: banking · licence · nomination	S.5(b) · 22 · 45ZA–45ZF

Maxims with their home in the law

Maxim	Meaning	Where it lives
Nemo dat quod non habet	no one gives what he does not have	forged endorsement passes no title · S.58 NI exception for a holder in due course
Debitor non praesumitur donare	a debtor is not presumed to make a gift	S.118(a), S.139 NI — consideration presumed
Ex turpi causa non oritur actio	no action arises from a base cause	S.58 NI — instrument for unlawful consideration · S.23 Contract Act
Fraus omnia corrumpit	fraud unravels everything	fraud exception to BG / LC autonomy — *Sumac*, *United City Merchants*
Pacta sunt servanda	agreements must be kept	autonomy of bank guarantees and LCs (UCP 600 Art. 4–5)
Lex mercatoria	the law merchant	banker's lien — *Brandao v Barnett*; deemed negotiable instruments by custom (hundis — usage saved by S.1 NI)
Qui facit per alium facit per se	who acts through another acts himself	S.26–28 NI — principal bound by agent's signature
Vigilantibus non dormientibus jura subveniunt	law helps the vigilant	presentment in time (S.61, 72, 84 NI) · S.138 time limits · limitation
Ubi jus ibi remedium	where there is a right there is a remedy	S.31 NI wrongful dishonour · S.138 · DRT / SARFAESI
Bona fides	good faith	S.9 (HDC), S.10 (payment in due course), S.131 (collecting banker) · fiduciary duty — *Tournier*

Numbers to remember

₹5 lakh DICGC deposit cover	3 days grace (time bills / notes)	3 months cheque validity	30 · 15 days: notice · pay (S.138)	1 month complaint (S.138)
2 yrs / 2× S.138 punishment	20% S.143A · S.148	48 hrs drawee to accept (S.63)	₹20 lakh DRT threshold	30 days DRAT appeal
50 → 25% pre-deposit (RDB / SARFAESI)	90 days overdue → NPA	60 days S.13(2) notice	45 days S.17 appeal to DRT	₹1 lakh · 20% SARFAESI minimum
100× annual rent — locker loss	30 days appeal on licence (S.22(5))	7 years dispose non-banking assets	14 + 6 banks nationalised 1969 + 1980	5 days banking days to check LC documents

Last-night list — one line per cluster

#	Revise only this
1	BR Act L-C-L-M-A-I-N; S.5(b) definition; S.22 licence + appeal; RBI functions; kinds of banks; IT impact.
2	Foley v Hill; Joachimson; six hats D-T-B-A-L-F; customer — GWR, Commissioners of Taxation; special customers.
3	S.31 duty to honour; may / must refuse table; Tournier L-P-I-C; IT Act S.133(6); garnishee — only sole-name balances; passbook estoppel (Skyring).
4	S.4, 5, 6, 13; PN v bill v cheque table; S.118 presumptions; S.18 words prevail; maturity S.22–25 (+3 days); deemed NIs; Bavins (conditional cheque).
5	S.9 HDC + privileges; S.53 (D who knows of fraud recovers); S.58 (bearer finder → HDC good title; forgery → no title); S.52 conditional; S.56 partial; S.55 blank → full; S.43 accommodation chain.
6	S.30–35 liabilities; dishonour + notice + protest; discharge table; S.87 + Koch v Dicks; S.138 timeline 3m-30-15-1m; 2018 amendment.
7	G-S-N-A crossings; S.125 who may cross; S.128–131; a/c payee — Industrial Chain Concern.
8	S.10 due course; S.85, 85A, 128, 89 shields; Canara Bank (forged drawer's signature = bank's loss); countermand — Curtice.
9	S.131 conditions; negligence examples (Savory, Industrial Chain); paying v collecting table; immediate credit not a right.
10	S.171 general lien = implied pledge; no lien S-L-T-M; set-off conditions; lockers — Amitabha Dasgupta, 100× rent; S.45ZE joint locker → survivor + nominee.
11	Lending principles; pledge S.172–176; securities table; guarantor S.126–141; husband's mortgage — whose title?
12	BG kinds + Sumac; LC kinds + strict compliance + autonomy + fraud exception; BG v LC table.
13	DRT: ₹20 lakh, S.17–22, S.25 recovery, DRAT 30 days / 50%; SARFAESI: NPA, 60-day notice, S.13(4), S.14, S.17 45 days; Mardia.

All the best for the exam! 🙏

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Prepared by lawsticker-ai.com from previous year question paper analysis and the bare Acts (BR Act 1949, NI Act 1881, Contract Act 1872, RDB Act 1993, SARFAESI Act 2002). Sections, limits and case names were checked carefully; RBI limits change from time to time — check the latest circular for any figure you quote.